Ep #5 | EdTech What’s Broken, What’s Next? With Nikhil, Ronnie Screwvala , Gaurav Munjal & Jay Kotak

[Speaker 3] (0:00 - 0:10)

Top 3% of kids get into these good colleges. What about the 97%? If education was online, can that compete or compare with real life education?

[Speaker 1] (0:10 - 0:15)

I think I've been blessed by not being spoiled with a lot of fundraising.

[Speaker 3] (0:21 - 0:25)

Do you think balance is an important part of being a successful entrepreneur?

[Speaker 2] (0:26 - 0:28)

No, I hate balance.

[Speaker 4] (0:28 - 0:35)

I think balance is a very important part of anything. The opportunity and the way this country is changing is a once in a... Century.

Century or more.

[Speaker 2] (0:36 - 0:42)

Bill Gates has started this windows that has made him a billionaire and I want to start doors. It's kind of cool.

[Speaker 3] (0:50 - 1:07)

So thank you guys for coming. I think most of you here do not need an introduction but maybe a good way to start this is A, how do we all know each other and B, maybe talk about ourselves for a minute or two. So we just get to know each other a bit more.

[Speaker 2] (1:07 - 1:33)

Would you like to go first? I'm the only non-billionaire on this panel. I know Ronnie because he runs UpGrad and I run this company called Unacademy.

And I don't know how do I know you? How do we end it up? Bangalore.

I think you have this, yeah, you were doing a party one day I got a message and... Jay, I'm

meeting for the first time.

[Speaker 3] (1:34 - 1:51)

Maybe you can tell us a more creative version of introducing yourself. So don't say what you would say in a job interview, in a college interview or a TV interview but tell us what you would tell your friends. Who is Gaurav?

[Speaker 2] (1:53 - 1:55)

Okay, let me phrase my...

[Speaker 1] (1:56 - 1:57)

Have you had a job interview?

[Speaker 2] (1:58 - 1:58)

Yeah, once.

[Speaker 1] (1:58 - 2:00)

Ah okay, that's a good start.

[Speaker 3] (2:01 - 2:03)

So all of you are like mega brains, okay? Which college did you go to?

[Speaker 2] (2:04 - 4:29)

So I'll start from the beginning. So I was born in Bikaner. And then father's a doctor, grew up in Jaipur.

Middle class family. But I think at the age of 12, I went to my dad and said, you know, I saw in Dainik Bhaskar newspaper, Bill Gates has started this Windows that has made him a billionaire. And I want to start doors.

And I was coding at that point. So it's kind of cool. At some way, I could have been the poster boy of White Hat Junior because I was...

But we'll get to White Hat Junior at some point. When I was 11 or 12, I was aggressively coding. You know, like you were interested in elocution, etc.

I never was into sports. I was into computers, gaming. Were you a bright child?

Good marks in school? I would study just before the exam and I would get 80-85%. And some of the teachers, but every parent-teacher meeting, I would get reprimanded at home because I

would...

I think I had this rebellious nature, which I still do. But I just had to take my teachers to a breaking point. Like I had to say something in the class or something like that.

But then this coding thing, I was 15 years old when I started eXrays. So we had a school magazine called X-Rays. And I could not get selected in it.

So I went to the principal who was Father Jose Jacob. And I told him I'll start this eXrays. And I got to build a new team.

And, you know, it was launched in school, etc. So I think that was the first taste where I realized that maybe I'm... I could study physics, chemistry, maths when I could, but I was never excited about it.

I always loved building products. I remember, you know, I built this bot in college called Pingu. You know, it was like a much basic version of what we are seeing today.

But you could say that I'm getting bored and it would give you that. So I think... And at some point, the coding and the tech part got merged with content.

So I used to run these blogs in college and ended up making $2,000-$3,000 a month, which used to be a lot.

[Speaker 3] (4:30 - 4:30)

College where?

[Speaker 2] (4:31 - 5:51)

NMIMS Mumbai. And... What were you studying?

Computer Engineering. But more than that, I would spend a lot of time creating these blogs. They used to get a million likes.

Quora, I started writing a lot after college. Roman, my co-founder and I are... At some point, we became the top 20 most followed people on Quora, just because we were writing.

So at some point, we found this and Unacademy, in fact, started as a YouTube channel. You should say a bit about your co-founder. He's like some academically like an anomaly of sorts.

Yeah, I'm getting there. So we started creating videos. I started creating computer science videos, but they didn't get a lot of views, but they got like 50,000-60,000 views.

And then I met... Roman and I know each other from school, where we used to go to chemistry

tuitions together. And at some point, he was in AIMS. He had just become a doctor. He was the youngest doctor. And then somehow he ended up cracking... He was just about to crack the UPS exam, but the results were not out.

And the day he cracked, I called him up. I thought this is a great opportunity. I mean, he has cracked the examination.

He has three months before he has to go to Labasna. Why not? I should get some free videos out of him.

So it was done as a content project. But those videos... What were these videos about?

[Speaker 3] (5:51 - 5:52)

What did you do?

[Speaker 2] (5:52 - 7:17)

UPSC preparation. Because I was making computer science videos. They used to get 50,000-1,00,000 views.

But when his video came, we got a million views. The channel became one of the biggest channels, etc. YouTube channel?

Yeah. YouTube channel on Academy. And then next one, one and a half years, Himesh and I, my other co-founder, we had started this company called FlatChat.

It was like Tinder, but for finding roommates. This I had started when I was in college in NMIS. I had raised my first angel investment...

I in fact got a first angel investment offer when I was in fourth year of college. But then I got this software engineering job, which was the first job. Pretty good job.

So for me to come from a middle-class background and say no to that kind of offer, I think it was 16 lakhs per annum back in 2012. I mean, it was too good to refuse. One year I stayed there, I paid off my education loans.

I had taken an education loan to study in college. And then at some point, like you said, that I realized I cannot work for somebody else's vision. I mean, I was too much of a rebel to work for somebody else.

So then FlatChat was started, which CommonFlow bought in 2014. That's how I came to Bangalore. And then I was with CommonFlow for one, one and a half years.

Learned how to scale a company. FlatChat was small. It was sold in 10 months.

[Speaker 3] (7:18 - 7:25)

So did Unacademy start like that? Was it a video channel which became a business? Yes.

So you started monetizing this channel?

[Speaker 2] (7:26 - 7:35)

Yes. We started monetizing it. But when Roman went to Labasna, he was not...

I mean, he was not allowed to make money. So we stopped monetization.

[Speaker 3] (7:36 - 7:42)

The educational anomaly I was talking about is he became a doctor and then? IAS officer. Yeah, so you did both together.

[Speaker 2] (7:43 - 7:56)

That's lovely. And then there was this one, one and a half years of convincing. We would talk every night.

It was clear that both of us would talk, figure out a way to convince his parents on how he should leave IAS, etc.

[Speaker 3] (7:56 - 8:04)

And when did Unacademy become all that it is in terms of scale? The same question I asked him. When did you realize Unacademy is big?

[Speaker 2] (8:06 - 9:26)

No, so we had that intrinsic optimism that we have to make this big. I mean, one guy is... He was the assistant collector of Jabalpur.

I mean, he is leaving that. And then, you know, we knew that this is... We are going all in, like working 16 hours a day, seven days a week.

We had to go all in and we had to make it big. The question wasn't so... See, people don't realize a lot of times.

We went through at least 10 pivots before we realized our business model in 2019. So 2015 is when we started the company, when Roman quit, when Himesh quit, when I quit. Both Himesh and I quit CommonFlow, Roman quit IAS.

Four years, it took us 10 plus pivots to realize what's our business model. But once we cracked

the business model, this is... I remember 2019, we were on a founder's retreat and we start seeing revenue numbers that we are doing 30 lakhs a day, 40 lakhs a day.

And this is the first time we had seen revenue PMF. We had seen views PMF. We were creating content.

So we had seen that journey that our videos were doing 100 million views a month. So that journey we had already seen. But when we started seeing revenue PMF, that's when we knew we had hit something.

But it took us at least four years plus 10 pivots to get there. Would you like to go next?

[Speaker 1] (9:26 - 9:50)

Yeah, sure. Proud of having a very low middle-class upbringing. Keeps your feet on the ground.

And I think I'm around because I've kept my feet on the ground most of my life. That's why I'm still walking around the place. I think it's very important.

I had a great first innings and a lot of fun by seeking out being an entrepreneur, but in a way in which...

[Speaker 3] (9:50 - 9:53)

So, Roni, we don't know how you started off. Where did you grow up?

[Speaker 1] (9:54 - 10:36)

Grew up in Mumbai. Where did you go to school? I went to school in a place called Dunn's Institute.

What did your parents do? My dad has been a professional. He worked with the Tata Group for a long time.

And I think before he retired, he spent about 10 years with a UK company called GL Morrison that made me be a cream. And my dad's... And my brother's a PhD in HR.

And then, I don't know, at my young age, figured out that I may not be that good implementing somebody else's vision. So, felt I needed to start off and do something of my own. And that was when I had to decide whether I want to do an MBA.

[Speaker 3] (10:36 - 10:37)

How old were you?

[Speaker 1] (10:39 - 10:41)

1920. And I think at that stage...

[Speaker 3] (10:41 - 10:42)

And what year was this?

[Speaker 1] (10:44 - 11:49)

Good question. It's about 78. 1978.

Okay, so I don't know whether that's got a validity stamp today in relevance to everyone, since everyone had a lot of raised eyebrows here. But yeah, it was an excellent crossroad to very clear learning lessons for me at that early stage. One is when my dad said, okay, I don't really figure out what you want to do, but why don't you do your MBA, do your child accountancy, and then if you want to still run something on your own, start that way.

And I was quite clear that if I had a plan B in my life, then plan A wouldn't work out. Because I think that's half the situation, right? When you want to start something and you feel you have an optionality, you're going to run aground definitely 10 times.

And I think the other thing that both my parents told me is, look, if you're going to do that, we don't have the wherewithal to bail you out. So you'll have all our love and all our affection, but we're not going to bail you out. So I think that's a good segue to start off at a time when there was no angel or VC funding.

[Speaker 3] (11:49 - 11:50)

So what did you start first?

[Speaker 1] (11:53 - 12:22)

I started a cable TV company that started wiring up all of Mumbai and most of the five-star hotels. That was a time when the TV sets didn't have a remote control. So not only did we have to start selling the concept to people, but we also had to sell concepts to the TV manufacturers to start making multi-channel TV sets at that particular point in time.

So that was my, I think, first sojourn into starting something.

[Speaker 3] (12:23 - 12:26)

And then? When was the big moment where?

[Speaker 1] (12:26 - 12:30)

There's never been a big moment. I think big moments are overplayed in life.

[Speaker 3] (12:30 - 12:39)

When did Ronny Skruvala become Ronny Skruvala to people who don't know you? Who didn't know you personally? When did you become a figure person?

[Speaker 1] (12:41 - 13:02)

Yeah, so I don't know what that criterion is because beauty is in the eye of the beholder. So I don't think any one person defines where the other one is. But media is a profile that gets you somewhere.

So I think early media days, then later media days, and then I think when we morphed to be... You started Cable, did very well in Cable. Five years, then sold it.

[Speaker 3] (13:03 - 13:04)

How much do you sell it for?

[Speaker 1] (13:05 - 13:34)

Literally nothing. I think that's the stage where it was getting quite messy. There were a lot of copyright issues and I just felt that was not my DNA to build a business that would have so many challenges at that very early stage in life.

So it was a chance when the COO that I had appointed came in and resigned and said, I'm going to go to a South Indian party who wants to start Cable TV. So I said, well, will you check with them whether they want to buy this because then you can buy it, run it, and go forward. That's pretty much how it took place.

[Speaker 3] (13:34 - 13:38)

So did you use the corpus from selling the Cable business to start the media stuff?

[Speaker 1] (13:39 - 14:03)

So media, I think, again, is serendipity in many ways, right? Because as coming from the lower middle class home, I think since I hadn't studied, for me, learning soft skills was an important element. So instead of doing boxing and football in school, I did elocution, debates, dramatics, theater, and front of camera hosting at that particular point in time.

[Speaker 3] (14:03 - 14:05)

And what did you do in media first?

[Speaker 1] (14:06 - 14:39)

So literally, it was pretty much that. And I think the first thing that happened is there was an advertising agency called Lintas Law and Alec Padamsee, who used to do a lot of theater with, I used to do a lot of theater with. So he came in one fine day and said, Hindustan Divas wants to do India's first sponsored program.

And that's pretty much how the company was born. And he said, we've got to make 13 episodes of a TV show. Do you want to make it?

And I said, well, why are you coming to me? He says, you just look like the guy who's going to be able to put it all together. And I think that's how the media part started.

[Speaker 3] (14:40 - 14:42)

And that led to movies and UTV.

[Speaker 1] (14:42 - 15:10)

Movies much later, I think, didn't have funding for almost six, seven years. So when you don't have funding, you build a B2B model. So we were a cost-plus model for everything else.

We started making TV content and doing lots of stuff. And that's when I realized for the first time to get in private equity, get external investors. And then media started getting defined almost 10 years later into the business.

So I'd say it was good fun being in the formative part of it. And I think that's what I thrive on.

[Speaker 3] (15:12 - 15:20)

And how did media lead to movies, lead to UpGrad, startup investments, and all the other things that you do?

[Speaker 1] (15:21 - 15:59)

So media stayed as media. I think the day I realized that if I want to build something at scale and build a brand, then you need to be in the B2C part of the business. So I think over a period of two years, I remember one investor call because we'd just gone public.

And predictability and margins came into the picture. And I said, actually, I'm not so much in control of what I'm doing because I'm a B2B model. So we morphed and we started being a broadcaster of about 10 channels and then started a movie studio.

The first five movies we made were disasters in every sense of the word. And most people would say, why are you ever in that business kind of situation?

[Speaker 3] (15:59 - 16:00)

Why are you in that business?

[Speaker 1] (16:01 - 16:07)

Because I needed to build a B2C brand. And you can't build a B2C brand in media if you're not in the big screen part of it.

[Speaker 2] (16:08 - 16:09)

What was the need to build the brand?

[Speaker 1] (16:11 - 17:00)

Just for me, I think I was starting to get obsessed with scale and I think value. Like if you see, there are about 30, 40 companies in media that have got listed since the time we did that. And I think if you look at their market cap for the last 20, 25 years, they haven't moved more than 10% cumulatively in the last 25 years.

So my realization to unlock and create value was to build a integrated model versus being a pure play. And at that stage, I think for six, seven years, I got slaughtered by everyone saying, where's your focus? Why are you not only into one single aspect?

Then you get competitor reviews from different people. But I think normally when you're going against the grain and you know it, means when a lot of people think they've not understood your model, I found that that's normally where 10x, 10x, or 20x value gets created.

[Speaker 3] (17:01 - 17:06)

So do you think these still hold true? Like B2C is where value can really be created even today?

[Speaker 1] (17:08 - 17:45)

A B2C business today, you're saying in media specifically? Not in media, in anything. Yeah, it's a tougher one.

So I think when one got into education and one got into learning, the first crossroad was whether we should start B2B. Because it's a tricky business, right? In a sense, education is a very formatted, formal world in every sense of the word.

Everyone's very predictable. It's a calendar event in your life, so to speak. And to break that up and say, I want to build something, we could have easily started the B2B way, but I was quite clear we should start B2C.

And that was a tougher model to go. But I think no regrets in the last six years.

[Speaker 3] (17:45 - 17:50)

And the second thing, do you often make more money by being counter-trend?

[Speaker 1] (17:51 - 19:13)

I think, I'll answer that maybe two ways. I think my ratio of eight failures to two successes is something that I hold on to quite well. It's not that I go out to do it in that.

It's not a formula. But I think when you fail as often as you do, that's a minus one X every time. It could be a big minus one X.

It could be a minus one X, 10 million dollars, 100 million dollars, a bad hire, a bad decision, pulling the plug on a business, sticking with a business, whatever else. But it's a minus one X. But because you've done that, when you do get a success, it's 30 X, 40 X.

And I think that if you don't have that law of averages working, the chances of you having success will be two X, three X, four X, which is still fantastic. But that 30 X, 40 X doesn't come about unless there's a lot that you've done, which is where your mind has allowed your instinct and your gut to really get a little bit more polished, to just feel confident. Because at the end of the day, it's not about gut, right?

It's a lot to do with your own self-conviction. When everything else feels- Self-conviction being? Self-conviction.

Conviction being? Yeah, I think that at the end of the day, if I have to say, what do I have as the reservoir? It's a self-conviction, right?

Because how do you get out of failure? Self-conviction.

[Speaker 3] (19:13 - 19:20)

Is that conviction in yourself or conviction in the cyclical nature of a sector that you're betting on?

[Speaker 1] (19:20 - 19:28)

Has to be in yourself. Has to be in yourself. Yeah, I don't think anyone can have such conviction in a cyclical part of a business or even in a sector.

[Speaker 3] (19:30 - 19:34)

And how does Ronnie spend time today? Like, how much time does which business take up?

[Speaker 1] (19:35 - 20:28)

So I'm not very big at breaking up time. I think the elasticity, I think I've been blessed with keeping

my feet on the ground most of the time. I think I've been blessed by not being spoiled with a lot of fundraising from time to time, which I think really corrupts people and corrupts minds and corrupts businesses and corrupts many other things.

But I've also been most blessed that I enjoy everything that I've done. So I think my media part to do that and the level at which you do it, and I think what I'm doing right now, whether it's our not-for-profit foundation or whether it's going back and doing a little bit of storytelling in the movies, mostly with the skilling and workforce development and learning platform that we're trying to build globally and a little bit having fun with sports teams like the Kabaddi one.

[Speaker 3] (20:28 - 20:29)

You both have a sports team, right?

[Speaker 1] (20:29 - 20:30)

In the same league.

[Speaker 4] (20:30 - 20:39)

We both have two sports teams, technically. Yeah, Kabaddi. Table tennis.

Table tennis. It's a smaller property, but still fun.

[Speaker 3] (20:39 - 20:39)

Yeah?

[Speaker 4] (20:39 - 20:40)

Yeah.

[Speaker 3] (20:40 - 20:47)

Do you guys ever like, I mean, I know you don't play Kabaddi. I'm hoping the answer is that. But table tennis, you must enjoy, right?

Yeah.

[Speaker 1] (20:47 - 20:52)

Yeah. Have you tried Kabaddi? Kabaddi for me would go back a long time, right?

[Speaker 4] (20:53 - 21:04)

Jay is young. Jay can still... I mean, unfortunately not young enough.

I've played a little bit. Right. But that's more just after the team happened and then trying to see what it is.

[Speaker 3] (21:05 - 21:09)

Are they nice to you and don't really go hard on you because you're their boss, in a way?

[Speaker 4] (21:09 - 21:17)

Thankfully, yes. Because it is a rough sport. And I don't think I appreciate how rough it is.

[Speaker 3] (21:17 - 21:17)

Yeah.

[Speaker 4] (21:17 - 21:18)

Till, you know, we start...

[Speaker 3] (21:18 - 21:19)

Till you get out there on the ground.

[Speaker 4] (21:19 - 21:26)

And you realize it's an incredible game. Yeah. I think we both have really bonded and spent lots of time together.

[Speaker 1] (21:27 - 21:57)

But that's a good example of what you just asked of how do you take and build a brand on something, right? Because if you take that game, it's always been a great game, especially from an Indian sport point of view. But to take it out of the sort of matti and put it on a mat.

Right. And put some lights on. And then just one or two tweaks to the rules of the game, where every third time you have to score versus you can just come in and go out and not score, has changed the entire perception.

Just those two factors have taken popularity of a sport from X to 10X, 20X.

[Speaker 3] (21:57 - 22:22)

No, I'm intrigued. The last time Jay was in town, he had come for a Kabaddi game. We were talking about it.

And it seems like the learning curve or the amount of money you need to set up a Kabaddi game

is not as high as many other sports. Yeah. You don't need a stadium like cricket and football.

And if you're close to the action, it does, I see the appeal at some level.

[Speaker 1] (22:22 - 22:38)

Yeah. I mean, in India, sports is quite different. There, if you're in the US, you need to own a stadium, you need to own the infrastructure.

Here, you don't need necessarily, even in cricket, to necessarily own the venue. And they're normally quite segregated. But yeah, I think...

[Speaker 4] (22:38 - 23:01)

Have these teams become profit-making now? Yes. But it depends on how you account for it in terms of allocated cost and how much non-discretionary spend you are doing in terms of are you building a youth program?

Are you doing scouting? Are you investing in building any physical infrastructure? So maybe...

Also, Ronnie is in Mumbai, I'm in Pune. His fixed cost tends to be a little higher.

[Speaker 1] (23:01 - 23:10)

Yeah. Yeah. But right now, I think we're all having more fun than the monetary gains from it, I would say.

I agree.

[Speaker 3] (23:11 - 23:13)

Would you like to go next, Jay? Tell us about yourself.

[Speaker 4] (23:13 - 23:42)

Yeah, sure. So first, fun to learn, Ronnie, about you before I knew you. Because I only knew you from 2014.

I only know the later stage of Ronnie. And I echo a lot of the things that he said like resonated with me. Middle class values.

Feeling older. Now I'm meeting and interviewing people born in 2001. How old are you now, Jay?

I'm 89, so I'm 33.

[Speaker 2] (23:42 - 23:45)

So you're the youngest one. How old are you, Gaurav? I'm 90 born.

[Speaker 4] (23:46 - 23:46)

Wow.

[Speaker 2] (23:48 - 23:49)

I'm older than both of you then.

[Speaker 1] (23:49 - 23:53)

Yeah. I'll have to just act young.

[Speaker 2] (23:54 - 23:57)

But we both were born on the same day.

[Speaker 3] (23:57 - 24:02)

But considering you went to MBA or whatever around 78, you don't look your age.

[Speaker 1] (24:03 - 24:05)

Right. No, I didn't do my MBA, but yeah.

[Speaker 4] (24:06 - 24:08)

Yeah, I agree. I thought you were younger.

[Speaker 3] (24:09 - 24:09)

Yeah.

[Speaker 4] (24:12 - 24:41)

Yeah, I grew up in Mumbai. Middle class values, quite sheltered. And dad founded Kotak.

And I've been privileged to watch him and the business grow. And that's been a great learning experience for me. I went to the US for my studies.

And I wasn't really sure what I was going to do with my life professionally, where I wanted to go.

[Speaker 3] (24:41 - 24:42)

When did Kotak become big in your own journey?

[Speaker 4] (24:45 - 24:54)

Were you in school? It depends on big in terms of the size of the business or our perception of it from...

[Speaker 3] (24:54 - 24:57)

Not your perception of it, but our perception of it.

[Speaker 4] (24:57 - 27:28)

When did that happen? I think we became a large capital markets and non-bank franchise in the early 2000s. So about 20 years ago?

Yes, I would say. And the bank came later. Kotak was founded in the late 80s.

And the bank happened in the early 2000s, around 2001, 2002. So the capital markets business, the securities business, investment banking was much more mature. But we only became a big B2C brand where people, normal people had debit cards, credit cards, bank accounts in the late 2000s.

But I did not perceive or understand how large the business had become really till I came back from undergrad in the US in 2012, 2011, 2012. Even then I never actually worked at Kotak till I came back from my MBA. And I wasn't really sure that this was my calling.

But when I was taking that decision three weeks before I was going to graduate, I was evaluating, hey, do I want to stay in the US? It's a pretty comfortable life. Work at a private equity fund or an investment bank or a tech company there.

Or do I want to come back? And my father actually called me. And rare that he would do something like this.

And he said, I really do think you should come back for India, not as much necessarily for Kotak. Because the opportunity and the way this country is changing is once in a century or more. If you think over the last five or six centuries, this has only happened six or seven times.

And I kind of took that plunge. And I'm glad I did. Where did you go to college?

I went to undergrad at... Like him, like tell us where you went to school, when you went out. I went to school at Cathedral and John Connor School in Mumbai.

And then went to college to Columbia in New York. Came back, worked for a few years, mostly consulting, investment banking, not at Kotak. And then went to business school.

I did my MBA at Harvard in Boston. I graduated 2017. And since then, I've been in India.

And I actually, after MBA, joined Kotak. Spent a couple of years doing capital markets, which was

the original kind of strength and original business of the Kotak group. And then I moved into consumer and B2C ever since.

[Speaker 1] (27:29 - 27:41)

I remember meeting up with you in Boston in your last two, three months of your Harvard, this thing. And I remember having that breakfast conversation with you and you were still debating on India or not India.

[Speaker 4] (27:41 - 27:41)

Yeah.

[Speaker 1] (27:42 - 27:44)

And glad your dad convinced you or...

[Speaker 4] (27:44 - 27:53)

You were on the same page. Yeah. You were on the same page.

I'm glad. It's best decision, not just for me, but for anybody my generation. And I'm seeing a lot of...

[Speaker 3] (27:53 - 27:53)

People coming back.

[Speaker 4] (27:54 - 27:55)

Lot of people coming back.

[Speaker 3] (27:55 - 28:19)

It's a very interesting train of thought, right? Like, go back in time. Is patriotism defined by arbitrary boundaries drawn at one point of time?

I would also like, you know, put a caveat in here and say some countries are more patriotic than us. Like, I feel like America does an amazing job of selling patriotism.

[Speaker 1] (28:19 - 28:56)

Wait, wait. So that's a soft power approach. We should not mix that up.

And I'm glad you brought that up there, right? Because obviously, that's a soft power approach where it's only the view from one particular side and point of view. So yeah, they've done a remarkable one-sided job on soft power, okay?

Where you can make a movie about an assassin that shot 123 people in a country they went and occupied. But if the other person had done it from the other side, you're not gonna see a Hollywood movie on that, right? So whether you can call it Sniper or you can call it X, Y, Z, but they've done a great job.

[Speaker 3] (28:56 - 29:04)

Is there a correlation between how many patriotic movies are made to the underlying patriotism in the country?

[Speaker 1] (29:04 - 29:41)

Soft power for America in every sense of the word. I mean, there's your Silicon Valley and there's your technology, and then there's Hollywood. And yeah, I think...

I would say cricket and Bollywood for India are very internal, insulated soft powers. The problem is the soft power is how you get perceived from the outside, right? And here, now everyone stopped playing cricket.

90% of the revenues come from cricket in India because nobody else is playing cricket. All the Commonwealth countries are playing more football. They do play cricket, but not to that level.

And I think the same applies to storytelling. I think we missed that bus on being a global ambassador from storytelling, yeah.

[Speaker 3] (29:41 - 29:56)

Do you think, because you both have a bird's eye view on Kabaddi, do you see cricket losing the kind of viewership with the newer generations than it did for maybe people in their 30s and 40s? What about the youngsters?

[Speaker 4] (29:57 - 31:19)

I don't think so. I think there is enough space in India for multiple sports to coexist. And I think cricket is around to stay.

You can never say forever. If you look at a sport like baseball, for example, in the US, it is on a steady kind of declining trend. But the US still has four major sports.

And for me, it's more about the fact that they emphasize different elements of human skill. You think about a baseball that's a little more like cricket, a basketball that is about a height, reflexes, endurance, intensity. American football, you'll often see some of those footballers are fat.

You know, and there's a whole host of different skill sets on a football field. The act of going to a

football game is like an all-day event two hours from the city as opposed to a basketball game, which is like going to a movie. I see the same kind of thing manifesting itself in India.

Same thing in the UK with rugby, cricket, football. Kabaddi is very different from cricket in the kind of elements of human skill that it emphasizes. And it's a very different viewership proposition.

It's a shorter game. It's a 40-minute game. It's a very high-intensity, 30-second piece.

And I think that's what makes it exciting. And you can go for a kabaddi game as a family like you would for a movie in the evening, see it and come back.

[Speaker 3] (31:20 - 31:50)

Right. Can I ask you guys a very interesting question? Digress a little bit.

Like when all three of you spoke about your life, your journeys, you brought up the middle-class upbringing, the middle-class values. I'm also from a middle-class family, right? Do you think we do this subconsciously to signal the perception of us we want to be known, we want others to know us for?

Because we have a little bit of imposter complex.

[Speaker 1] (31:51 - 31:57)

It's important. Yeah, we do. I would say yes.

But it's an important part of the narrative, right? Because you're...

[Speaker 3] (31:57 - 32:07)

Is it a truly important part of the narrative of why the three of you are successful? Or is it an important part of justifying the narrative?

[Speaker 1] (32:08 - 32:36)

Well, two parts to that. One is it's important to be part of the narrative because you asked the question because we're sitting here having a conversation which we are assuming other people who want to gleam out of and therefore the context is important. And second, yes, I do genuinely believe that the grounding that one got and I think when I've listened to what Jai said, there's a grounding that you get.

So I think it's important to refer to that. And you're not saying it so that you can say, look, once upon a time I was here and now I'm here. I don't think that's the context.

[Speaker 3] (32:36 - 32:57)

But can I also ask you a question? Who does not want to imbibe middle-class values on their kids? Like I would think most wealthy people in the world are trying to teach their kids middle-class values in one way or another.

So how are we unique or how is that unique in each of your own journeys?

[Speaker 1] (32:57 - 33:12)

I'd pivot it out the other way because who doesn't is a very small minority of who doesn't because you're talking about it with the top angle view. I think we're all looking in from the bottom angle view. And in the bottom angle view, it's aspirational.

The top angle view of who doesn't is a thin minority.

[Speaker 3] (33:13 - 33:16)

What is aspirational though? Having middle-class values or being successful?

[Speaker 1] (33:17 - 33:20)

No, the journey. The journey is the success.

[Speaker 2] (33:20 - 34:22)

And more than the perception, I think it's also about the fact that I think a lot of initial drive comes from the fact that like from the fact that you see other people having so much and you want that. Now, I was reading this book called Hard Drive, which is Bill Gates biography. And now he was born into money, not the kind of money he eventually got.

But he still had that passion for one thing. But, you know, it is, you know, I used to see, let's say, my father's friends who were other doctors and the kind of cars they would have or the kind of, you know, parties they would have, etc. See, it's not perception.

Is that the innate emotion which made you as hungry and ambitious in life? Initially, two innate emotions. One, this and second, all my friends.

Because that is a very raw true emotion, right? Somebody else has more than you. You were never altruistic.

I mean, my father had a Maruti 800 and my uncle had a Zen. And following that journey, where are you now?

[Speaker 3] (34:22 - 34:25)

Like you have X. What do you compare yourself to?

[Speaker 2] (34:25 - 35:18)

Now, I don't see. At some point, it's a, now, see, drive is not black or white. It's not like because I wanted a better car, I work 16 hours a day.

I could have, if I wanted to make money, I could have chosen another profession where I would work eight hours a day and have a much more work-life balance. But I don't have that. So I think, I think initial drive or for example, when I was in school, all of my friends, I went to Xavier's Jaipur, which is one of the best schools in Jaipur.

But all of my friends got into IITs. I didn't. So then during college, that was the second part of the drive that I had was that, you know, there was this hunger to prove that, you know, and every time, at that time, it was this Gmail group.

And, you know, you had G-talk or something like that. And we would discuss that. G-chat.

Sorry. It's very surprising. They should have been the one to break out and done.

[Speaker 3] (35:19 - 35:27)

Do you think balance is an important part of being a successful entrepreneur? No. I hate balance.

[Speaker 2] (35:27 - 35:28)

I think you have to be.

[Speaker 1] (35:28 - 35:33)

I think balance is a very important part of anything. Balance, tolerance, a little bit, you know.

[Speaker 3] (35:33 - 35:35)

Balance, tolerance, completely different.

[Speaker 1] (35:35 - 35:38)

Balance. Of course it's different. I was adding to that, this thing.

[Speaker 3] (35:38 - 35:39)

But yeah, balance is very important.

[Speaker 4] (35:39 - 35:44)

Do you mean balance in temperament? Do you mean balance in skill set? No, neither.

[Speaker 3] (35:44 - 36:02)

I mean balance in the repetitive nature of life. Let's say he has a family. Let's say you have a family.

Do you allocate 10 hours to work, one day a weekend? Do you have a hobby? Do you go to the gym?

Do you take care of your health? I mean balance in that way.

[Speaker 2] (36:04 - 36:43)

So I'll go first. I have always lived a life to a point. Now I'm focusing on health.

But I have been a fan of this notion that if you have to be truly, truly big and if you have to create something that impacts, creates a huge impact, I hate balance. I mean, I believe that you do enough so that it's utility. You figure out a way to balance family, health, etc.

But you have to go all in. If you have to create something truly, truly, truly big. If you have to create something very good, it's fine.

I think balance is fine.

[Speaker 1] (36:43 - 36:48)

See, that's the generation gap. I wouldn't necessarily feel here. Do you agree with him?

[Speaker 4] (36:48 - 37:20)

I think if I look at 80 years of life, I want balance in that 80 year journey. And I very much agree with you on that piece. I agree with you Gaurav that say for a 2, 3, 5 year period, it may not be consecutive here and there.

If you feel something about a certain way, if you feel like you're creating something, you're having an exciting time, whether it be professionally, personally, anything, then go all in on that. But the sine curve has to kind of...

[Speaker 3] (37:20 - 37:22)

Which phase, which cycle are you in right now?

[Speaker 4] (37:22 - 37:40)

I'm right now in the... Actually, I'm in the middle of cycles. I would say the last three years has been a lot of drill down work and all work related.

But now I'm getting married this year. So I think that is going to necessitate some changes.

[Speaker 3] (37:41 - 37:47)

Tell them a story about your... Okay, let me do like half of it. And you can do the finishing part of it.

[Speaker 4] (37:47 - 37:49)

Nikhil's been waiting to set this up.

[Speaker 3] (37:50 - 37:58)

No, I'm happy it worked out the way it did. So one day me and Jay go out for a meal in Bombay. We go for dinner.

Where did we go?

[Speaker 4] (37:59 - 38:03)

I met you at Mekong at Land's End.

[Speaker 3] (38:04 - 38:05)

Yeah, not Mekong.

[Speaker 4] (38:05 - 38:21)

Not Mekong. We were sitting on that lobby place. Yeah, but I saw you at the...

There's a Chinese restaurant at Land's End. Japanese or Chinese. And then we had coffee at the cafeteria bistro.

[Speaker 1] (38:21 - 38:24)

It's ironic by the way. The food plays a very important part in all our lives.

[Speaker 3] (38:24 - 38:26)

Yeah, but the food there is really good.

[Speaker 1] (38:26 - 38:27)

Like really good food.

[Speaker 3] (38:27 - 38:33)

So we went from there. We met one or two other friends of mine. We went to some place near BKC.

[Speaker 4] (38:33 - 38:39)

No, near Kamla Mills. It was a lot. We went to a couple of places.

Then we went... You tell the story.

[Speaker 3] (38:39 - 38:42)

We went to a couple of places. We were basically going from one place to another.

[Speaker 1] (38:42 - 38:44)

We're moving from food now to love.

[Speaker 3] (38:45 - 39:33)

So random weekend in Bombay. The last place we went to is a friend of mine, his house. And so me and Jai went there and we were sitting and we were chatting and stuff like that.

And there happened to be a girl in my friend's house. Cut to like Jai meets her there. They talk for five minutes.

In front of me, they don't even exchange numbers. Cut to like a few months later. Jai is in Bangalore and we're having dinner at home.

And he's like, bro, I started dating that girl. And that is the girl he's getting married to now in November. So I feel like, you know, they should name their child after.

[Speaker 4] (39:33 - 40:33)

No surprises there, but phenomenal, lovely. Her name is Aditi. Super story.

And it was a butterfly effect. And, you know, I was tired that day. I had finished.

A very close friend of mine got married. So we had his barat, his wedding. It was an early wedding.

We finished by around 6.37 and Nikhil was in town that day. And somewhere or the other, I said, you know, okay, I'll spend half an hour with Nikhil. And then go home and sleep because I'm tired.

And we had fun and just became five hours. And as you rightly said, at the end of that night, I must have spent two minutes with Aditi. And the only thing we got out of that conversation was, hey, I did my MBA in the U.S. And she was saying, I'm applying right now for my MBA in the U.S. So I will for, you know, I really thank my Harvard MBA, but I will do it in this case because that was something that is always a good thing to say.

[Speaker 3] (40:33 - 40:34)

Yeah.

[Speaker 4] (40:35 - 40:37)

And then we just kept in touch on Instagram.

[Speaker 3] (40:38 - 40:43)

Really? Yeah. Who messaged who first?

She's going to watch this and all.

[Speaker 4] (40:43 - 41:03)

So I know she's going to kill me. I follow requested her. She accepted my follow request and followed me back.

And she has many more followers than me. So I felt like, okay, you know, she probably gets hundreds or not thousands of...

[Speaker 1] (41:04 - 41:07)

You were still on the MBA wavelength at that time.

[Speaker 4] (41:08 - 41:15)

How long has it been now? It's been January 2021.

[Speaker 3] (41:16 - 41:17)

So a little over two years.

[Speaker 4] (41:18 - 41:27)

And it just went from chatting on Instagram to, hey, when are you in Mumbai next? You know, let's meet.

[Speaker 3] (41:28 - 41:43)

Interesting. Congratulations on the wedding in November. Thank you.

I thought this group would be very interesting. We have one very savvy investor, come entrepreneur, come has done everything in life from producing movies to media.

[Speaker 1] (41:44 - 41:50)

And how do you define savviness? Because I think savviness is a nomenclature that you get into sometimes.

[Speaker 3] (41:50 - 42:02)

In the world that we live in today, my benchmark, my metric is capitalism. And through those lens, historically, looking at your track record, you're very savvy. Fair?

[Speaker 1] (42:04 - 42:07)

Beauty is in the eye of the beholder. So I'll accept it from that point of view.

[Speaker 3] (42:08 - 42:14)

Capitalism kind of removes the beauty in the eye of the beholder argument because we're all viewing from similar lens.

[Speaker 1] (42:14 - 42:22)

Yeah, but just to complete that off and to what maybe Gaurav said earlier, I can't visualize ever what I was getting turned off of who drove what car. I think for me...

[Speaker 3] (42:22 - 42:28)

Are you bad at taking compliments generally in life? I just, sorry? Like, are you bad at taking compliments in life generally?

[Speaker 1] (42:29 - 42:29)

Yeah, maybe I am.

[Speaker 3] (42:29 - 42:33)

Because that's subconsciously a trigger to something else. Why do you think that is?

[Speaker 1] (42:35 - 42:37)

My own self-conviction. That's a good question. I mean, I don't know.

[Speaker 3] (42:37 - 42:39)

Self-conviction would help you take a compliment.

[Speaker 1] (42:41 - 43:24)

I was trying to... I think you're very right and very intuitive on that. Maybe I'll take it one level forward that I was trying to fine tune it even more further by actually going to the fact that to me,

enjoying myself has been one of the higher paths of it.

Because actually, I'm quite a loner in many ways. Most of the work of the companies that one has built has been very interactive with people, but still in that sense. But I think for me, the benchmark of really just enjoying what you do has been very, very critical and important.

And I think my journey has been a little bit of that. When you do that, you feel blessed. When you feel blessed, you get recharged.

When you get recharged, you do a lot more.

[Speaker 3] (43:25 - 43:30)

So in a way, you're saying contradiction in your mind is lesser because you've found something you love.

[Speaker 1] (43:32 - 43:42)

Yeah. I mean, contradiction on a day-to-day basis. And balance, I understand where Gaurav was talking about where you need to...

I think what he's saying is you need to be rebellious. You need to be out of your box.

[Speaker 3] (43:42 - 44:42)

With Gaurav, what I also feel is it feels like he is so ambitious. He thinks it's good to be capitalistic. But somewhere, he also feels it's a good thing to be poor.

What's a good thing to be? Poor. Why?

Because that's your gut, you know? Like, see, when you're talking about a smaller unit, right? We grow up in families with four people, five people, six people.

Families are always socialistic in nature, where everything is shared. When you go out in the world and things become capitalism and inequality increases disproportionately, some part of our subconscious, I believe, because so much of what we are today is a factor of our upbringing, our influences. I think some part of each of us believe, not directly, but subconsciously, that it is good to be poor.

And I think the more you win in capitalism, the more you feel like that it is subconscious. No, no. I might be wrong.

[Speaker 2] (44:42 - 45:03)

No, no. That was, see, that was at the end of the day, one of the initial drives. That has not been my drive in a long time.

I don't... Today, I wouldn't compare that he has this or she has this or something like that. That was just an initial part of the drive.

Eventually, you know, whether it's product or content, I found that thing which motivated me. And I think...

[Speaker 1] (45:04 - 45:06)

But I think you're addicted to being rebellious.

[Speaker 2] (45:08 - 45:09)

Maybe.

[Speaker 4] (45:09 - 45:13)

I know you five, like, whatever, 30 minutes. And I definitely see some spunk.

[Speaker 1] (45:14 - 45:32)

Which is a good thing. Yeah, yeah. I mean, in a nice manner.

But you're addicted to that. I mean, you know, half the times I would say, oh, I mean, and now maybe a little bit I follow you because we met a couple of times. I'm saying, now, why does he have to shoot his mouth off again?

But I think you enjoy it. And that's, that defines the character.

[Speaker 2] (45:33 - 45:48)

So for us, I mean, for us, it was the fact that who has made it big in the venture capital game. And to be tagged as a unicorn. I mean, when we were 25 years old, me, Roman and Himesh, one of the goals was that, you know, if we can make a unicorn before 30, that would be awesome.

[Speaker 1] (45:49 - 45:55)

And it did happen. Meaning convince four or five people to give you a lot of money at a higher value. But that's what it would mean, right?

[Speaker 2] (45:55 - 46:01)

But unlike some other companies, our company has also created value. So, yeah, but essentially that.

[Speaker 1] (46:02 - 46:14)

I'm just, I'm just, I'm just curious about that. I'm not, I'm not, I'm very happy with my answer. But I'm trying to...

Because I think it's the messaging that we all do in a conversation is very important. No, no, so I get it.

[Speaker 2] (46:15 - 46:16)

I mean, if I were to look back...

[Speaker 1] (46:16 - 46:18)

And I'm half-jarving you, so don't get me wrong.

[Speaker 2] (46:18 - 46:40)

If I were to look back, should I have chased valuation the way I did? Probably not. But it did teach me a lot of things.

And at some point, you know, unacademy in the last 12 months, the way we are focused on EBITDA. I think very few venture funded companies have. And this month will be the first month where we are cash flow positive.

So I think that journey wasn't easy, but...

[Speaker 1] (46:40 - 46:43)

That's a hardcore capitalistic talk now.

[Speaker 3] (46:43 - 47:14)

But one thing I have to add in Gaurav's defense is what he's saying, that valuation game. He was not the only one playing it. There were like millions of people who wanted to achieve what he achieved.

So regardless of market cycles and when money drains out and interest rates go up, I think a lot of credit goes to him for having been able to get that money, scale an academy in the manner that he did. And I think he should take pride in that and...

[Speaker 1] (47:14 - 47:14)

Always.

[Speaker 2] (47:15 - 48:26)

No, I would be a little humble here and say that there was only one feedback that Shailendra and

Dipinder and Bhavin, these three people have been good mentors and they've built companies, they have helped build companies. They kept saying that, don't let your ego come in between. So I just, I was just...

I accepted the reality, but there were 10 people who told me what to do. So I just didn't let it get into my head that or just because I could convince five people to value me at a certain valuation doesn't... And by the way, this happens with a lot of other founders.

At rest, how to execute or how to do that, etc. I think that was the easy part. But listening and having that acceptance that you f***ed up or you overhired people and the journey of letting go of people would be a tough one.

So I think doing that acceptance was the major part. Once you accept that, hey, I did... I f***ed up.

There are 10 people who will tell you, you have to reduce your fixed cost, you have to reduce your S&M, you have to reduce your G&A. And then we probably did.

[Speaker 3] (48:27 - 49:02)

But that's all that matters, bro. As long as you guys have course corrected in a direction that will make you bigger, better, stronger in the future. I mean, see, at the end of the day, we all wish each other the best, right?

Yeah. Yeah, yeah. So where I was at before this conversation is we have one very, very savvy person because he's done so many things.

We have a very articulate friend of mine, Jay, who has gone to the best colleges in the world and gotten great marks and... Not really. How much did you get?

I was always... How did you get into Harvard?

[Speaker 4] (49:02 - 49:03)

I was a good student.

[Speaker 3] (49:03 - 49:03)

Yeah.

[Speaker 4] (49:04 - 49:11)

I was a very good student, but I was not... I wasn't always in the top 10%. Not in the top 1%.

In all of my classes.

[Speaker 1] (49:11 - 49:14)

See, that's the benchmark that you come up with. Not in the top 10%.

[Speaker 4] (49:15 - 49:25)

No, but in... Typically, you know, there is this kind of culture in India that like you have to have 99 or 98. And I was always 89, 90.

[Speaker 3] (49:27 - 49:47)

Which is good. And then we have another engineer who has done so well. And you have me who has not gone to college, is fairly illiterate from the traditional lens.

So putting four people like us together, right, like one who doesn't have any education, one Harvard, one like so much experience and so many other things.

[Speaker 1] (49:47 - 49:49)

Also with very little education.

[Speaker 3] (49:49 - 49:50)

But you went to college, you said?

[Speaker 1] (49:51 - 49:52)

I did my B.Com and that was it.

[Speaker 3] (49:52 - 49:52)

Yeah.

[Speaker 1] (49:53 - 49:55)

So you're saying that qualifies...

[Speaker 3] (49:55 - 50:34)

Four years more than I did. And I thought if we all come together and we talk about education overall, not just for everybody looking to build a product, a company in education, any kind of a business, ancillary to education. I thought four diverse views like this should help an entrepreneur starting off today.

So that's the intent of today. And it's not about our individual companies. It's not about how well Anna Kamadimi is doing or UpGrad is doing or Kotak Bank is doing.

Kotak Bank is in another level where I don't think...

[Speaker 4] (50:34 - 50:46)

I don't think we should be commenting about it. Kotak Bank is not... I can't take any more credit for that.

I'll only take credit for a little bit of Kotak 811 inside Kotak Bank. Kotak Bank is not...

[Speaker 3] (50:46 - 50:52)

Will you elaborate on that a little bit? Because we'd like to know what Jai is doing at 811. What is 811?

[Speaker 4] (50:54 - 52:13)

811 stands for... Interestingly, given the news that happened yesterday, 8th of November, which was the date of demonetization, where we as a traditional slash legacy bank started a immediate online account opening, which was never allowed before that. Along with demonetization, a set of new interesting and very progressive regulation came that allowed bank accounts to be open for the first time without a wedge signature.

Kotak started a product called Kotak 811 that basically allowed that to happen. And it saw extremely high uptake because it turns out that a lot of India was, and to a lesser extent still is, not banked or underbanked. And that has been a journey.

And recently, we've... Seeing the scale of that opportunity, we've, in a management segregation, not a legal entity segregation, very important because regulatory businesses have to be... Carved it out as a bank-in-bank management segregation.

And we think of ourselves a little more as a digital bank slash fintech, but fully regulated business. That's nice.

[Speaker 1] (52:13 - 52:17)

And you took that 8... I mean, it's 811, but you call it 811.

[Speaker 4] (52:17 - 52:18)

We call it... So it's Kotak 811.

[Speaker 1] (52:19 - 52:23)

And 911, they couldn't have called it 911 otherwise it would have been the emergency number in America.

[Speaker 4] (52:23 - 53:22)

But it turns out that most people in India have no concept of what 911 is. Tell us what 811 does broadly. Like if you had to categorize it in a bucket.

You can open a bank account in three minutes sitting in your living room on your phone. It's a partial KYC account and you get a virtual debit card. You can start transacting immediately.

So element one of the proposition is that it's fully, you know, straight through. We do around six lakh accounts a month. We will take 20,000 on a day, which is considerable.

So 811 now contributes 70 to 75% of the total accounts that Kotak opens. And that's just the power of digital and why I'm in Bangalore so much. The second element of the value proposition is that we are an unbundled offering.

Think of it like how Indigo disrupted jet airways. We have zero balance. We are the only large bank in India to offer a bank account with zero minimum balance, which is very compelling for most of India that does not have 10,000 rupees.

[Speaker 3] (53:22 - 53:30)

So would you like summarize and say it is banking focused on the young in a fast, efficient, near zero cost manner?

[Speaker 4] (53:31 - 53:36)

Yes, I guess that's a good way to summarize it. The one thing I have to add, like, you know.

[Speaker 1] (53:36 - 53:38)

Especially for a very underbanked nation.

[Speaker 3] (53:39 - 55:16)

Yeah, the one thing I have to add about Jai is before the story about him meeting his now to be wife and all of that. The very first time I met Jai is when I had gone to the Kotak Bank office where Jai was sitting and pitched their family a product of ours which would manage a part of their money. And this was a few years before that.

And I will say this about Jai, right? A lot of people look at people who are popular personalities, kids and make up preconceived notions in their mind. But Jai was refreshingly different.

He is not somebody's son alone. But Jai on his own is extremely impressive. Like for the first, I don't know how many times we met he would never even like mention his dad once or, you know, that he's the son of this person.

He owns this bank and all of that. And I hope personally because we have a relationship and, you know, whatever I hope that one day when that opportunity comes I hope that opportunity comes to lead Kotak Bank but I can't think of somebody who has more, you know natural ability, he's so calm, stable has so many facets which would serve well in leading an institution of that size.

[Speaker 4] (55:16 - 55:55)

Yep, couldn't agree with you more. I appreciate that, but Now he's going to Humility as well, I missed that. I think he's going to pull the regulator and the regulation.

It's not just about regulation. It's a large business. We are 26% shareholder.

Yeah. There are 74 others. And leadership and future has to be decided in the context of what is best for all.

I am committed in what I'm doing right now. By virtue of being the largest shareholder we are aligned with the future of the business. But for me, I don't see that as a necessary.

Do you think he's not taking compliments?

[Speaker 1] (55:55 - 55:56)

Well, either like you asked me.

[Speaker 3] (55:57 - 56:08)

No, I think this is he's taking it better than you, I must say. Because you have like this aversion where you rejected blanket. But he's trying to like, you know, incorporate another facet.

[Speaker 4] (56:08 - 56:15)

He's adding to it. I don't agree with a lot of your compliments because I do think that This is the best compliment of them all.

[Speaker 3] (56:15 - 56:17)

The fact that you're not agreeing with my compliment.

[Speaker 4] (56:17 - 56:50)

It's having a head start from being born in what was when I was much younger, I was, you know, we were not very affluent, but still, you know, privileged parents that value your education, being able to send you to an American school and not have to worry about scholarship, you know, not having to worry about paying education loans. And that kind of sets off a positive cycle. That definitely kind of is an unfair advantage, so to speak, that I've had.

[Speaker 3] (56:50 - 57:42)

That's a good way to come back to this. They say that, what was the number somebody was telling me? 40 to 50% of school going children in India go to private schools.

If government schools in their form today don't function, do you think that is a testament to how they don't function? As to how they have to change the very fact that 50% of India and we are talking about India where, you know, like maybe three, 4% of our country pays tax. So that 50% is not affluent, which is taking the additional hassle of paying school fees and the expenses and all of that, sending their children to private schools.

Does that talk about public schools in a, I wouldn't say, derogatory way? Is that number true?

[Speaker 1] (57:43 - 59:37)

I'm not sure about the number, but I'll just say it in two parts. Firstly, I think the US, by the way, the schooling is not so great. I was going to say exactly that.

There's enough people who come back from the US in the fifth standard and here we'll have to go in the third standard. Right. So that should give you a pretty quick benchmark on that.

And look, we work with about 1,200 schools in rural India and I can tell you since you're bringing that, those are Zilla Parishas and those are what you would call the schools. But I think there is a sense of infrastructure that also pulls it down. It's not just that.

It's the faculties, the teaching and whatever else you go there. But I can tell you when we started opening a library in each of the rural schools, magic happened. The attendance went from 60% to 95%.

That's super interesting. of opening a library because for most people, a library was a locked cupboard behind the principal's door with a key which nobody had access to and you couldn't take away a book home. So if you look at the singular parts of what are the triggers of what people do, because at the end of the day, it's about aspiration, right?

I mean, education is about growing aspiration. What do you think is tomorrow going to be brighter and better than yesterday? And I think we spoke a little bit earlier about patriotism in India.

I mean, I can best say that today people are thinking very genuinely that tomorrow is better than yesterday. And I think the soft power that America went through was exactly that. That soft power gave you the sense that tomorrow is going to be better than yesterday.

And I think today the United States is reviewing. They may not want to admit it, but they're reviewing whether tomorrow is better than yesterday for them. And if you just look at that as one, and I know I'm straying from your specific question on that, but I think you have to look at

education now or anything to do with learning with that little bit broader perspective than just attendance, just learning, just grading, private versus public.

And I think it's all about teachers in many sense of the word, right?

[Speaker 3] (59:37 - 59:47)

Is that the opportunity the two of you saw? The quality of education in government or some private institutions?

[Speaker 1] (59:47 - 59:54)

As far as UpGrad was concerned, I think we are in higher education. We didn't look at the K-12 market for a multiple of reasons.

[Speaker 3] (59:54 - 59:58)

Also give us like 30 seconds on what UpGrad does and I'll come to you next.

[Speaker 1] (59:59 - 1:00:31)

Yeah, so if I were to sort of define it, I think education is a very calendar event and it's a very preconceived notion where you go through a certain portion of your life and it's over. And I think we want to disrupt that space in today's. For us, the definition of what we want to build is a sort of what I would call learning, skilling and a workforce development company.

And do you also skill people who are already working? Yes. In fact, most of the people we skill have to be in some sense of a job in working.

And the earliest we do is college learners or the last year of college people.

[Speaker 3] (1:00:31 - 1:00:34)

You take people in when they're 18, 19, that kind of age group?

[Speaker 1] (1:00:35 - 1:00:45)

We don't take, but they come to us. But yeah, because I think... Do you reject?

No. See, the beauty about technology and online is it's a much more...

[Speaker 3] (1:00:45 - 1:00:48)

Because you don't do a pull. You don't do marketing, advertising as much.

[Speaker 1] (1:00:49 - 1:01:11)

Is that why? No, for two reasons. It's an option at that stage.

That's why the calendar event, it's not an option. It's programmed in your life. You have to go to school or you have to go to college or you're going to be called a dropout or you're less privileged.

But here, the optionality of life starts. And therefore, I think it was more to be... We're talking about the fact that optionality starts there.

Because that's the time when you need to carry on and take it forward. Right.

[Speaker 3] (1:01:11 - 1:01:13)

How is Unacademy different?

[Speaker 2] (1:01:14 - 1:02:01)

So Unacademy is... Internally also, we don't think we are in the education business. We think we are in this tournament business.

So what happens is today, whether it's... 60 million people give these competitive examinations. You have your UPS, you have your NEET, you have JEE.

And for a huge... Like for almost everyone who comes to 11th standard or 10th standard, the only way to change their socioeconomic status is by getting selected into these examinations. Because I like to think that...

And this is what's similar to... What UpGrad also does is it helps people get better jobs, makes them better skilled. So I think that's...

Are you both at the same price point in a way? No, but we are in different markets.

[Speaker 1] (1:02:01 - 1:02:03)

Very different markets. Very different segments.

[Speaker 2] (1:02:03 - 1:02:29)

Similar price points? No. No.

No. Which would be higher and lower? No, no.

So, you know, we cater for SSC examination where annual subscription would cost 5000 rupees. But we have a JEE examination where an annual subscription would cost 1.2 lakhs. So we are sort of in that tournament business where, let's say, if people get selected and they go into an IIT, their life will change.

[Speaker 3] (1:02:29 - 1:02:34)

Because IIT is like a lottery. You say tournament because so few get in? Yes.

Is it fair to call it a lottery though?

[Speaker 2] (1:02:35 - 1:03:39)

No, I'm not calling it a lottery. I'm calling it a tournament. Like we do in India, game of skill.

No, no, no. But it's not a... I mean, you...

I mean, the kind of people who end up qualifying and the kind of questions that come in these examinations. I mean, we can debate that. Is this the right way to measure, etc?

But we have to all agree to some way of measuring a person's ability. And if hard work is... By the way, I couldn't clear any of those examinations.

People don't know. But I got rejected by a coaching center. In Jaipur, there was this coaching center called Resonance where there was this teacher, Ashish Arora, who eventually joined Unacademy two years ago.

But my father takes me to the coaching center. And they rejected me. Because to get into that teacher's batch, you had to clear a test which I couldn't clear.

So one of the things that Unacademy now does is... And some of our teachers are paid a million dollars. Million US dollars.

We got the best quota in Jaipur teachers. And they would start teaching and 10,000 or 20,000 people...

[Speaker 1] (1:03:39 - 1:03:42)

Teachers are paid a million dollars? That's why he started by saying venture capital.

[Speaker 2] (1:03:43 - 1:03:47)

Is that the differentiation? No, no, by the way. I think...

[Speaker 1] (1:03:47 - 1:03:51)

Without venture capital, nobody gets paid a million dollars. Because there are no merits to that.

[Speaker 2] (1:03:51 - 1:03:52)

These teachers were getting...

[Speaker 1] (1:03:52 - 1:03:52)

They're phenomenal.

[Speaker 2] (1:03:53 - 1:04:23)

No, no, but they were getting paid similar amounts by offline coaching centers who collectively were doing 20,000 crores in revenue. So between Chaitanya, between Alan, between Akash and between Narayana... And I don't want this to become the Rameshwaran cafe type shot, but...

Between these four coaching centers, these do 20,000 crores in revenue. And there are... Let's say some of these coaching centers would have at least 40, 50 teachers who get paid more than 2 crores per annum.

And some of them...

[Speaker 3] (1:04:23 - 1:04:34)

Can I interject once? Is that the differentiation why one ethnic platform works over another? Quality of teachers?

Is it syllabus? Is it teachers? But again, see, you need to...

[Speaker 1] (1:04:34 - 1:04:45)

In this segment, it would be different. I mean, for me... And for the overall working professional, it's a lot of plus, plus, plus.

It's not necessarily teachers and faculty, which is the epicenter.

[Speaker 3] (1:04:45 - 1:04:51)

Is it the syllabus? Like if you had to pick one at UpGrad, would you say syllabus have more weightage or do teachers do?

[Speaker 1] (1:04:52 - 1:05:31)

No, I think learning experience and the whole process of learning because it's online is the most important part of it and connecting. Otherwise, I mean, just a lecture today is not going to move the needle from all points of view. If you just have a TED talk, that's not how you're going to learn for the next level of what you want to do, right?

So I think that is the pivotal part. So for us, learning experience, right now, to me, what I think is going to revolutionize learning is peer-to-peer learning. So while we're talking about teachers and faculty, I can see that trend in the next five years, the power of everything that's going to go to the next level and maybe not in school because you do need that basic element.

You can't suddenly have peer-to-peer. It's peer-to-peer learning.

[Speaker 3] (1:05:32 - 1:05:44)

Actually, I wanted to ask Jay that question. I agree with this. Did you go to Harvard because the teachers were good?

And after you went to Harvard, did you learn more from your teachers or your classmates?

[Speaker 4] (1:05:45 - 1:06:49)

So Harvard Business School is a very interesting kind of education model because it is a combination of teacher-to-student and peer-to-peer because every class is almost like a conductor to an orchestra where the conductor is only kind of, which is the professor. He gives you a case. Everybody has to read it before the class.

You assume everybody's read it. It's usually a very interesting case on a topic based on what the class is and they have millions of cases. And then the professor has a roadmap of what he or she wants to get out of that discussion, but he pushes different members of the class.

And because it's a very diverse class, like for example, on a case where you're talking about Disney, the media company, there was a girl who was a child actress who became a very successful child actress and then a media executive and then came to Harvard Business School and had an interesting perspective to share with the rest of the class and likewise on other topics. That's to me, I learned a lot more. What was most valuable?

[Speaker 3] (1:06:49 - 1:06:55)

Was it the network, the classmates and what you learned of them or was it the teaching staff?

[Speaker 2] (1:06:56 - 1:07:02)

No, but like for him, it would be different than for what it would be for a normal person.

[Speaker 4] (1:07:03 - 1:07:05)

No, I disagree.

[Speaker 2] (1:07:05 - 1:07:12)

No, no, but because the normal person is going there for an intent to eventually get a very high paying job. In Harvard, I don't think so.

[Speaker 1] (1:07:12 - 1:07:18)

No, I don't think so. No, that wouldn't necessarily be the case. I think that.

That's normally a given by the time.

[Speaker 4] (1:07:18 - 1:07:43)

I think that for most people, they already have some form of reasonable paying job before they come for an MBA because in the US, unlike in India, you don't do an MBA right after your undergrad. It's usually anywhere from three to six years of work experience. And because the school is so selective, these folks tend to have gone to IITs or very good schools to begin with.

[Speaker 2] (1:07:43 - 1:07:43)

Then what's the intent?

[Speaker 4] (1:07:44 - 1:07:55)

So the intent is to go, to uplevel yourself into being a business leader and to being a more well-rounded professional and person.

[Speaker 2] (1:07:56 - 1:08:09)

But so what I had heard and maybe you can correct me if I'm wrong, the most sought after jobs after somebody completes HBS are private equity firms, hedge funds, venture capital.

[Speaker 1] (1:08:09 - 1:08:13)

That's changing very quickly. You're 10 years behind. Yeah, you're 10 years behind.

You're the youngest of the lot, but you're 10 years behind.

[Speaker 4] (1:08:13 - 1:08:22)

You're 10 years behind. I would say I graduated six years ago and it had already started to change. So what is it?

Entrepreneurship, software product management.

[Speaker 1] (1:08:23 - 1:08:26)

Yeah, you're hanging on too much with investment bankers and merchants.

[Speaker 4] (1:08:26 - 1:08:35)

Of course, there is a large cohort of people that are going into private equity, that are going into investment banking. There is always, you know, those are important pillars.

[Speaker 1] (1:08:35 - 1:08:37)

But even there, it's with an entrepreneurial mindset.

[Speaker 4] (1:08:37 - 1:08:37)

Yeah, yes.

[Speaker 1] (1:08:37 - 1:08:41)

Even there, it's with an entrepreneurial mindset. Most people do that as a hey, okay. And not with that career mindset.

[Speaker 2] (1:08:41 - 1:08:51)

So you are essentially saying that people are going into HBS to become entrepreneurs. But if you see the people who are like... I don't think we should single it out in an HBS manner.

[Speaker 4] (1:08:51 - 1:08:52)

It's all of these kind of...

[Speaker 2] (1:08:53 - 1:09:02)

No, but Ronnie, like you and Nikhil mentioned, I mean, you became entrepreneurs because of who you were and not because of the education you got. No, no, not at all.

[Speaker 3] (1:09:02 - 1:09:07)

It was the same human emotions, greed, hunger, insecurity, all of that.

[Speaker 2] (1:09:07 - 1:09:09)

Exactly, and not because of a college education.

[Speaker 4] (1:09:09 - 1:09:18)

No, no, it's not an education as much as it's that it's an immersion into a pool of very interesting people. And you go as a sponge and you come out.

[Speaker 3] (1:09:18 - 1:09:22)

That's actually the question I was asking you. Is that your biggest takeaway from that?

[Speaker 4] (1:09:22 - 1:09:24)

Hands down, I would say.

[Speaker 1] (1:09:24 - 1:09:30)

See, as a leader, you need to be a great catalyst. And I think what you just defined is... Just being a phenomenal catalyst, you know, that ability to...

[Speaker 4] (1:09:30 - 1:09:57)

And, you know, coming back to... We were talking about Kotak being a large company and we're very small if we compare to truly large companies, you know, around the world. And one of the things I see looking at that and looking at us and larger companies is that the skill sets you need is so much more about people, managing people, leadership, motivation...

And I can say that just from the outside.

[Speaker 1] (1:09:58 - 1:10:13)

And I've interacted with many people in Kotak, but I've interacted with them for 10 and 15 years. And that continuity of that culture that is there comes from somebody being a phenomenal catalyst that has therefore sprouted enough owners within an organization.

[Speaker 3] (1:10:13 - 1:10:41)

So there's an interesting question for the two of you. If the biggest USP of colleges... Let's not pick on Harvard.

Let's say Ivy College is in the US, for example. Ivy League colleges. Is the network, the connections, all of that occur there?

Can edtech, where you learn through a medium without human interaction with your peers in a way, ever truly compete with that?

[Speaker 1] (1:10:42 - 1:10:50)

The vision for us is to be inclusive. The vision there is to be exclusive. So there are two different tracks and two different parameters.

[Speaker 3] (1:10:50 - 1:10:58)

It's a much larger experience for a larger set of people, but do you think this can compete with that?

[Speaker 2] (1:10:58 - 1:12:19)

So let me just give you an example. So we have products for people ranging from 17-year-olds to 29, 30-year-olds. There is this examination people prepare for called NEET-PG.

If you became a doctor and you want to do your post-graduation and get your MD, etc. You give this NEET-PG examination. Now, the younger you are, you need more coaching.

You need more intervention. You need somebody to call you and tell you, please study, you need more discipline. But NEET-PG, well, let's say we want 24% market share.

The problem there is people say, we don't need offline coaching centers. And even if you give them great content, but boring content, they will open the app because the intent is so high. They will study it without even building social interactions.

So if your question is on whether this can be done, that you don't need, let's say, without a network, etc. Can you build that? That depends on how much intent…

But what are you building? At this point, the government of India has, or even some private institutions have these tournaments. If you crack these tournaments, your life changes.

We are coaches of that tournament. Now, and… No, I'm totally with you up until here.

[Speaker 1] (1:12:19 - 1:12:25)

But your question of whether you need to compete, I think it… And that was your real question there. Firstly, I'm saying…

[Speaker 3] (1:12:26 - 1:12:36)

Let's say education is a priority, is a precursor to having a certain kind of individual, a certain kind of 30-year-old man, for example.

[Speaker 1] (1:12:36 - 1:12:37)

Which is also changing.

[Speaker 3] (1:12:37 - 1:12:38)

Yeah, that's also changing.

[Speaker 1] (1:12:39 - 1:12:45)

There's no longer that formal context has not got the same weightage that it had before. Yeah, I agree.

[Speaker 2] (1:12:45 - 1:12:48)

Part of that is experience… You mean the degrees, etc.

[Speaker 3] (1:12:48 - 1:12:55)

Yeah, part of that is experience. Part of that is, for the lack of a better word, somebody's motivation to learn on their own.

[Speaker 1] (1:12:56 - 1:12:59)

No, I think the skill sets today to be job-ready are very different.

[Speaker 3] (1:12:59 - 1:13:26)

Yeah, but do you think a person who takes this medium… I'm talking about using UpGrad, using Unacademy, clearing a certain exam. If education was online, if the distribution of education…

They're not going to a college eventually. They're consuming all of the education online through a medium, through a device. Can that compete or compare with real-life education?

[Speaker 1] (1:13:27 - 1:13:45)

If I'm competing in terms of outcomes, and I just want to say that, what am I competing on? If I'm competing in terms of final outcome, report card being outcome, absolutely. Absolutely.

Because you're visualizing a brick-and-mortar space, and I'm visualizing a surreal space. And people operate in all spaces today.

[Speaker 3] (1:13:45 - 1:13:49)

I think the outcome I'm looking for is not necessarily marks card.

[Speaker 2] (1:13:49 - 1:13:50)

Do you, have you…

[Speaker 3] (1:13:50 - 1:13:51)

It's not necessarily?

[Speaker 2] (1:13:51 - 1:14:48)

Marks card. Yeah. It's success in life.

Absolutely. And if your question is more about online, do you know about Roblox? So there is an app called Roblox.

In US, every kid between 6 to 16, like one in every three kids, spend more than two hours on the app. So it's a metaverse, gaming metaverse, where you can play games with your friends, etc. That is now replacing some of the offline experiences.

So you can go to an amusement park with your friends, and it's a mobile app, it's not a VR headset. You can go to an amusement park with five of your friends, have social interactions, and then there are these game developers, which are building experiences. So my belief is that, if you have built that or what Minecraft has done, if you have built those kind of experiences, and you are seeing kids addicted to those experiences, and they are doing experiences online.

[Speaker 3] (1:14:48 - 1:15:02)

This is actually interesting. I saw this on an Elon Musk interview. He said it's easy to get kids to play video games.

The question is, can you tweak the video games just enough to make the learning experience?

[Speaker 2] (1:15:02 - 1:15:07)

And they are already there. So by the way, there is a chemistry lab experience on Roblox.

[Speaker 1] (1:15:07 - 1:15:17)

But when you tweak that, and I'm coming back to the peer-to-peer, the reason why that's a great learning medium is you don't need an intermediary. You don't need that one pontiff. You don't need somebody on the pulpit.

[Speaker 2] (1:15:18 - 1:15:42)

And then Roblox is exactly peer-to-peer. A game developer developed a chemistry lab experience that if you mix these two things, a reaction will happen. You go there with five of your friends, and you are doing experiences.

You can also click virtual selfies, etc. And you're posting there. So I think that will happen.

And if you have to crack online education, you won't say that I will have boring content. Is that the next big thing in online education?

[Speaker 1] (1:15:42 - 1:15:45)

You have to make it big. There is no big things in life. You have to make them big.

[Speaker 3] (1:15:45 - 1:15:46)

So the next thing.

[Speaker 1] (1:15:47 - 1:16:06)

It's there. Lonnie is consistent. I'm telling you that it's not about whether its time has arrived.

You have to make its time arrive from that perspective. And it's absolutely ready to be there. So the only thing about thing is acceptance or open-mindedness when you look at these two things.

And I think, yes.

[Speaker 2] (1:16:06 - 1:16:23)

And my belief is that you have to make some, you know, I wrote this blog post long back about good addiction products. Like how some of the best minds of the world are working on GTA or FIFA or, you know, making every experience or Instagram so addictive.

[Speaker 3] (1:16:24 - 1:16:24)

Yeah.

[Speaker 2] (1:16:24 - 1:16:29)

But some of the best minds are not working on education being super addictive.

[Speaker 3] (1:16:30 - 1:16:33)

Why is GTA, FIFA, etc. addictive?

[Speaker 2] (1:16:33 - 1:16:39)

And by the way, that's recorded content. So if you can make recorded content, multiplayer, so addictive, you can do that with education.

[Speaker 3] (1:16:39 - 1:16:43)

Why is it addictive? And why is education not? What needs to change?

[Speaker 2] (1:16:43 - 1:17:45)

Gamification. Like if you, you know, there's this game called Jailbreak on Roblox. Simple game, super simple graphics.

But one is the social aspect element of it. The second is the gamification element of it. If you read this book called Actionable Gamification, it breaks down every single aspect of why you get addicted to a game.

You, people play games that they win. So today, if they are sitting in a coaching center where you don't even get entry to a best teacher's class because they say you are number 100, that won't work. But if there is an AI app that says that, so the AI app can actually say that, Nikhil, you want to learn this?

It can real time generate a lesson for you. By the way, this is not happening, but we have to make it happen. And can start giving you questions.

So basically, and they have to give you some positive reinforcement. Because if you start playing, if FIFA only had world-class mode and didn't have an amateur mode, you would never play FIFA.

[Speaker 1] (1:17:45 - 1:18:01)

That's quite interesting. It's a sharp word, but I think if you look at, I mean, I come from a media background, so I think storytelling is a very important aspect of what hooks you on, right? And I think, I mean, the very fact that that same narrative is coming there is because there's a storytelling element to that context.

[Speaker 2] (1:18:01 - 1:18:04)

And that's why some of our top educators work. Absolutely.

[Speaker 1] (1:18:04 - 1:18:06)

If you see their class... That's the ability.

[Speaker 2] (1:18:06 - 1:18:07)

If you see their classes.

[Speaker 1] (1:18:07 - 1:18:25)

Yeah. And I think when Jay gave the example of this young girl who came in, she was a child artist and whatever else. If you look at that, you know, and it stuck with him.

It stuck with him in that element of a storytelling. And I think if you can bring that element to your learning and hold on to people's attention.

[Speaker 3] (1:18:25 - 1:18:42)

So I'm thinking like, I'm thinking in the manner that a 24-year-old starting a business in EdTech would think today. So I need to incorporate peer-to-peer. Gamify the experience in some manner.

And storytelling has to be a more integral part of it. Is that the summary of what you said?

[Speaker 1] (1:18:42 - 1:19:08)

No, but if you pick one of those... I think outcome is a very important part. Because all of this, if you don't figure out therefore, what's the end thing?

What do you think the outcome should be? See, because in school, there's a defined outcome,

either it's in marks or you move from one standard to the other. So there's a calendared event that's done there.

Here, you have to set your own benchmarks for that. And it is road to some sense of success, entrepreneurship, or job enablement. To move forward in your career.

It's as simple as that.

[Speaker 3] (1:19:08 - 1:20:18)

Yeah, that I fully agree. It's simple. Do you think our current benchmarks are not well-placed to cope with the changes that are happening?

Like education makes... In my view, I'll give you my experience of education, right? Went to a terrible school.

I hated my school. Hated my teachers. Grew up being scared of things I should not have been scared of.

I was probably scared of my class teacher, this teacher, that teacher. Stopped going to school beyond the 10th. I didn't go.

I started working and stuff like that. But what I remember of school is it taught me to be conformist in a manner where their idea of what I should be, their idea of what I should learn, their idea of what is required to get the outcome we just spoke about, being job, success, entrepreneurship, whatever, that was met. But that idea seems to be changing very quickly in the world.

I don't think you become successful 10 years from now by being conformist anymore.

[Speaker 2] (1:20:19 - 1:20:39)

So my view on that is that the definition of school is also changing. For example, if you ask an 11th or 12th year, 12th standard student, especially if they're not preparing for test prep or if they are because of their parents said so, if you truly ask them what they want to be, being a YouTuber would be a, like a lot of people would say they want to be a YouTuber.

[Speaker 4] (1:20:39 - 1:20:40)

Really?

[Speaker 2] (1:20:40 - 1:20:42)

Yeah. And why does that work?

[Speaker 4] (1:20:42 - 1:20:45)

Or a social media celebrity of some kind.

[Speaker 2] (1:20:45 - 1:21:40)

I think that cycle is turning. No, no. But why that works is you need to realize YouTube is sort of like a school with instant gratification and which is non-linear.

At school, you could get X marks. On YouTube, if you crack something, you can get like 500,000 marks in a way. Those are the kind of views that we get.

So that's why I also start thinking that if people eventually want to play non-linear games, these platforms that have opened up, there are 15-year-old kids who are making games on Roblox. There is a kid, one of the most, a YouTuber who earns, fifth largest YouTuber in the world who earns the most money, is a kid who reviews toys. And he makes like $30 million.

So what are you saying about education? So we're saying school teaches you to be too conformist. So what I'm saying is that YouTube in a way has become sort of like a parallel school.

[Speaker 3] (1:21:41 - 1:21:41)

Right.

[Speaker 2] (1:21:41 - 1:21:43)

People might not start when they are in school.

[Speaker 3] (1:21:43 - 1:21:44)

Do you think that's the future?

[Speaker 2] (1:21:44 - 1:21:46)

More democratized peer-to-peer education.

[Speaker 1] (1:21:46 - 1:21:54)

I don't think schooling, we should be, in our lifetimes also, forget mine, it's not going to get disrupted to that level.

[Speaker 2] (1:21:54 - 1:21:56)

And I'm not saying that will be disrupted.

[Speaker 1] (1:21:56 - 1:22:09)

If it does, it'll be at that very top 1% level. I agree with you. It's not going to get disrupted.

Actually, in some ways, it shouldn't. I agree with that too. That needs to be...

Why? Because you need to layer. You need to build on situations.

[Speaker 2] (1:22:09 - 1:23:40)

One of the reasons where I reached where I reached was, because I found YouTube. Yeah. I didn't crack any examinations.

So if you see, what are these tournaments? One tournament is that in a traditional sense, if you become good at physics, chemistry, maths, and you crack that examination, I think that's powerful. But I couldn't.

I went to a college which had too much fees where the best job you could get was in one of these IT services companies, three and a half lakhs. And there was no way I wanted to get that job. Not saying that's a bad job, but that's not...

that was not for me. So in a way, and this is why I think upgrade and higher ed needs to change is, if I get that slap in my face that you didn't crack JEE NEET, I didn't crack JEE NEET. How do you change that?

No, okay. If you didn't go to a good college, how do you change that? And I think YouTube is one way.

Upgrad me. If I can get a good degree and that gives me exposure, that's one way. So what I'm saying is that think of a kid who didn't crack, let's say top 3% of kids get into these good colleges.

What about the 97%? They go into these engineering colleges in let's say tier two, tier three cities. their job placement rate is 2%, 5%, 10% now what will happen to them?

so their capability is there, but they don't get the exposure Is that a problem that there are not enough jobs?

[Speaker 4] (1:23:41 - 1:23:44)

or is that a problem that they are not well enough educated?

[Speaker 2] (1:23:44 - 1:24:44)

Both. See, education doesn't solve for exposure You know why people prepare for UPSC examinations? There is a friend of mine, she gave the UPSC examinations 4-5 times Extremely smart friend I'm like, you gave the examinations 5 times, why?

Because of the predictability Once I crack it, I will get this wealth or this status or this credibility or my father would give me validation So at the end of the day, you know, it takes a lot of years for

you to come out of the shell that was created for you, etc and you are always seeking that validation But, and this is my question to all of you Think of a kid, and this is a huge chunk of our population The kid does not crack a good examination The kid goes to an average college The college does not get the kid a job What does he or she do?

But that's changing, in many ways I feel like

[Speaker 1] (1:24:44 - 1:25:28)

Let's go one more night, because I think if you want to look at a broad topic like we are about changing a job, it's quite universal and we won't draw the best examples of inspiration for the people who are kind of listening to this unless we take a little bit more of a global perspective without being just completely global and global does not mean the US because Africa, Vietnam, some other markets like that very, very, very unique and different but if you take the cluster of all of that together you'll actually find some very clear parallels that actually can make you give you so I think, I just wanted to put that into perspective that some of the challenges on a countrywide basis is not going to be able to solve but if you put a lot of those perspectives you can have a bigger solution and then it will start applying to a lot of stuff

[Speaker 3] (1:25:28 - 1:25:53)

I'm going to keep everything a little more concise mindful of time but I would like to maybe add here that today companies like Facebook, Google, Tesla even us here in India we don't care about educational qualification in the manner that we once did like we don't ask for people to tell us what qualification they have I have not hired anybody ever looking at their degree and their marks

[Speaker 4] (1:25:53 - 1:26:30)

but Nikhil, I think that's a sliver at the top in more evolved parts of our job ecosystem I think the moment you go one level down you being an IAS officer or being an IIT grad absolutely matters but I have a separate question if the system was good and the test was meritocratic in the right set of ways and everybody had equal opportunity what's wrong with the test or a way that kind of tells folks who are looking to hire that from this pool this is the most capable I agree it's not where it is right now and that's where a lot of that solve has to happen

[Speaker 2] (1:26:30 - 1:26:34)

No, but I think the test is good I'm talking about folks

[Speaker 1] (1:26:34 - 1:26:58)

yeah but capable is the key word so I think you know today more and more we are now hard driving those ones what is capability, what is readiness what is whatever else what are you at the

cusp of so I think that all those are changing which is why I still believe there are some fundamental things that need to be built on but disrupt just for the sake of disrupt actually creates a little bit more chaos

[Speaker 3] (1:26:58 - 1:27:07)

What skill set do you need to ace these tests and is that relevant to you doing the job you get after the test well

[Speaker 1] (1:27:07 - 1:27:24)

soft skills for us here it's a very sophisticated word I mean I call them super skills and I don't even call them soft skills because I just realized as a marketing person that as soon as you add Shaktimaan to something then there's a little bit more attention super skills versus soft skills soft skills sounds very soft super sounds I've already like a punchy situation

[Speaker 4] (1:27:24 - 1:27:35)

the soft skills the higher up you go in terms of metaphorically the success ladder which is a crude way of putting it soft skills becomes more important indeed super skills

[Speaker 1] (1:27:35 - 1:27:55)

but you are a product of soft skills yeah I'm a product of soft skills what does that mean otherwise after 10th standard if you haven't done it what else would have got you through life it is your it is those soft skills it is that super skills that you manage to build on to that stay with it whatever else through a background through a financial whatever else and you built on it

[Speaker 2] (1:27:55 - 1:28:00)

but don't you think that's trivializing it trivializing the issue to like for example

[Speaker 1] (1:28:00 - 1:28:11)

or shining the light on it okay I mean yes I mean trivializing it by saying is it so simple yeah we are but I think when you really find big solutions when you simplify it not when you complicate it

[Speaker 4] (1:28:11 - 1:28:29)

I agree things like empathy things like leadership are the ability to kind of be with 7 people that have different backgrounds and lead that team or you know figure out what motivates who is a very different skill than solving an extremely complicated alphanumeric

[Speaker 1] (1:28:29 - 1:28:52)

5 years back if I was looking to back a founder or hire somebody which is as a partner with me I

would say problem solving skills is important today I am saying spot the problem before you can solve it because I am not looking for problem solvers anymore I am looking for problem spotters I am looking for the guy who looks around the bend and sees is the train going to hit me is the truck going to hit me and not somebody who is going to solve it because even that time and density we don't have

[Speaker 2] (1:28:52 - 1:30:08)

right that makes sense see if I take a simplistic view my belief is that everyone is collecting these badges and these credentials which is what education is about now if somebody takes an online degree from UpGrad grade degree that's a badge because some like I was talking to a SVP of mine and his wife had taken an UpGrad course I asked him why did she take that she said he said that for her the moment she put that on her LinkedIn profile suddenly she started getting more requests so in a way what test prep is also doing is you are collecting these badges I cracked this exam I have this degree I went to this college or I have so many subscribers or I built this game which was played by so many people in a way I like to think that's what education is becoming about on how and then you can say that our system currently is limited that now only 6 badges are available but what online can solve for is that you know you can do these 3 things also

[Speaker 1] (1:30:08 - 1:30:32)

this is what Online is not that different it is an inclusive medium because exclusive is a problem here I have to get a test prep to get into IIT perfectly fine phenomenal world out there but hello we are 10 billion people in the world right now 8 billion going to 10 billion people right so obviously that opportunity of being very democratic on what we want to do is going to have to change quite radically

[Speaker 4] (1:30:32 - 1:30:47)

I think education has to solve for so one part of it is the badge gets you into the room with the recruiter and the HR and then you know the job the far bigger challenge is once you are in the job how are you good at it are you good at it because there is only so much that you can

[Speaker 2] (1:30:47 - 1:31:02)

no I think I think I think the opposite is true I think today getting into the room is a bigger challenge people are still there are like if like for example Nikhil said that they don't look at the IIT tag if you don't look at that tag there are still great people

[Speaker 4] (1:31:02 - 1:31:24)

a bigger challenge for who and when sure for 18 to 23 year olds probably and yes it is a

challenge because there are not that many jobs which is a separate problem to solve but being good at something anything is very important and education should be solving for how to make people passionate about things that they are good for

[Speaker 1] (1:31:24 - 1:31:26)

without using the word education because again you get back into a little bit

[Speaker 2] (1:31:26 - 1:31:40)

of a structured environment it's very unstructured I have a problem with that that's not a education issue that's a motivation issue if you tell someone to crack this and get this they will work more extra hard for that

[Speaker 1] (1:31:40 - 1:31:50)

that might be a little too simplified because you do need that prompt sheet you need that prompt sheet you need that hack you need that

[Speaker 2] (1:31:50 - 1:32:32)

element of it my belief is and we can agree to disagree here instead of bottoms up the top down approach works and that's how people think for example for that person who bought that upgrade course it was like I want a job and this particular product helps me get more exposure so I think it starts from the fact that I need a job worth 12 lakhs or 18 lakhs that's why I want to crack an IIT examination and that's why if you I was on a flight and I was seeing Indigo or Vistara magazine every single college ad now had placements with amount of packages people were getting

[Speaker 3] (1:32:32 - 1:32:33)

because

[Speaker 2] (1:32:33 - 1:32:54)

I think when they find out how much average package goes in this college because I like to believe that it's not oversimplification but it's the reality that if you say that you will get X after doing Y then people are more motivated so I don't think it's an education issue I think it's a motivation issue

[Speaker 1] (1:32:55 - 1:33:04)

yeah and it's not maybe it's not an either or so I don't think it's about us disagreeing or agreeing in that context because it's such a it's such a massive challenge and such a massive opportunity frankly

[Speaker 2] (1:33:05 - 1:33:10)

but do you think that would anybody learn anything for the sake of learning for example yeah

[Speaker 4] (1:33:10 - 1:33:18)

yes yeah yeah that's myopic I think maybe our society has kind of conditioned us into that but can I tell you like personal

[Speaker 3] (1:33:18 - 1:33:31)

example my initial phase of learning was based out of insecurity I didn't go to school I didn't go to 11th standard 12th standard all my classmates did that insecurity

[Speaker 2] (1:33:31 - 1:33:37)

drove me to learn but there is selection bias there is also a lot of selection bias I think there are

[Speaker 4] (1:33:37 - 1:33:38)

plenty of intuitive people in the world

[Speaker 2] (1:33:38 - 1:33:41)

we talk about any product that has no not selection

[Speaker 3] (1:33:41 - 1:33:58)

bias but where I'm getting to today is I've stopped reading the kind of stuff that I read back then which would help me be better at a job and today I keep reading about history and psychology and philosophy these things I do not for a job this is just because I find them

[Speaker 4] (1:33:58 - 1:34:05)

but I think that stuff does help you be better in life and job is part of life in terms of identifying

[Speaker 1] (1:34:05 - 1:34:09)

you just want to be more rounded every single day of your life

[Speaker 2] (1:34:09 - 1:34:21)

to simplify it I read it because I enjoy it but again I would say that's like a very very small subset of the population but I think more of the population has

[Speaker 3] (1:34:21 - 1:34:22)

to move there and I hope

[Speaker 2] (1:34:22 - 1:34:24)

organically that I agree

[Speaker 1] (1:34:24 - 1:34:25)

that I agree

[Speaker 2] (1:34:25 - 1:34:26)

that how do we

[Speaker 1] (1:34:26 - 1:34:40)

otherwise we'll get stuck at the entry gate we're not at the gate of heaven we're going to try and experience the whole thing so all I would say is you're right at the entry gate but there's much more than the entry gate and I think we might be all saying the same thing but at different positions

[Speaker 4] (1:34:40 - 1:35:11)

the root of this is at some level something you said maybe five minutes earlier but you said education and exposure are different to me I think if I think about education as a lifelong process exposure is an integral part of education that becomes a larger piece of that pie it just depends on what the context of education is here if we're talking about education in the context of companies solving for a piece of the value chain to make profit then it's probably a different education than a you know more abstract idea yeah I

[Speaker 1] (1:35:11 - 1:35:29)

mean this conversation we're having is a learning curve of some way I mean I keep being not wanting to use the word education because the perception comes back into a little bit of a formal structure part exactly in two hours if I can pick up three nuggets and go away I'm not going to remember the whole two hours of the conversation I can throw

[Speaker 3] (1:35:29 - 1:36:11)

like another like digress this conversation into another place altogether let's say the world evolves tomorrow a lot of the jobs get replaced by computers and so on and so forth there are not enough jobs in the world to immaterial of how skilled the person applying for the job is let's say that equilibrium is not met world transforms into some kind of socialism but by choice capitalism right like Thomas Spaghetti spoke about donut economics where we're in equanimity with nature in a way growth for the sake of growth is not good

[Speaker 2] (1:36:11 - 1:36:13)

let's say universal basic income is there

[Speaker 3] (1:36:13 - 1:36:18)

yeah UBI is there people are getting paid people do not then have

[Speaker 1] (1:36:18 - 1:36:22)

global warming will come in sooner than that one if you ask me yeah I I

[Speaker 3] (1:36:23 - 1:37:28)

personally like I know a lot of people are very critical of global warming like we have a big fund rain matter climate we do a lot of work around climate change I tend to be more sanguine about it in many ways when I look at the world today I feel we are the luckiest we have the best version of the world any of our ancestors ever did we live for 40 years longer than we lived 100 years ago we didn't have to see world wars we didn't have to see racism we didn't have to see disease malnutrition all of this in the manner that our predecessors had to so sure global warming is a problem we have to work on it we have to like you know work on negating the effects of climate change but not withstanding that I think in the future if UBI were to come in I feel the kind of learning that we are doing we are talking about will become the only kind of learning where people choose to learn a certain thing because they want to learn

[Speaker 1] (1:37:28 - 1:37:37)

it I agree and to get on with what they want to do in life absolutely and that that to me is the is the fun part of it it's a limitless and this

[Speaker 3] (1:37:37 - 1:37:48)

is how life used to be like if you go back 2,000 years ago philosophy was not something people spent like an ancillary subject like the Greek way of living was

[Speaker 1] (1:37:49 - 1:38:07)

today's turning inverse is giving you a much deeper understanding different depth and that's why I'm saying therefore let's not tinker with the opening part of what we keep saying that all of this can only happen if you go back to the foundation sure yes of course we can teach sex education better in school we can teach entrepreneurship we can teach competitiveness

[Speaker 3] (1:38:07 - 1:38:20)

by virtue of where the world is going maybe sex education suddenly has become a very meta

thing we need people to have more kids all over again so yeah we do pragmatic again maybe sex education should not be

[Speaker 1] (1:38:20 - 1:38:47)

a very meta thing willy-nilly look at that that context where you're moving in because of your other exposures in life and that's why I was saying there's a certain cost to an event let that be there because it's evolving in itself but I think the important part that we brought up here also was are there going to be that many jobs and therefore what's everyone doing in this entire space to be able to do that and water does find its level of course it goes through troughs in many ways but water does find its own level in many ways

[Speaker 3] (1:38:48 - 1:38:55)

hopefully I wouldn't say hopefully that's the wrong word for it likely there would also be lesser people in the future

[Speaker 1] (1:38:55 - 1:39:15)

I think this but if I had everything formal I wouldn't be able to survive and create opportunities but because I'm going to have this informal approach to a situation there more likelihood I'm going to succeed in an environment which is fragile and unpredictable because actually today what I think the next hundred years are going to face is much more fragility much more

[Speaker 4] (1:39:15 - 1:39:40)

uncertainty I'm not sure as a student of history I think that there's enough historical parables to say that this is indeed what is happening but my personal instinct is I believe in capitalism I believe in our ability to solve problems in the context that I actually don't think either we're going to run out of jobs because I think that for every job that gets taken away new jobs are coming and it's been happening for the past hundred

[Speaker 1] (1:39:40 - 1:39:52)

years my context was more that extremes of extreme negative extreme positives may become a little bit more polarization may happen to a larger extent but I fully agree I'm not a pessimist on the fact that we're going to run out of jobs

[Speaker 4] (1:39:52 - 1:40:05)

also on climate change which is the one that maybe we disagree yeah I think yes there will there will be an impact yeah I think we all agree on science and all of that but we will solve when it becomes and then there is

[Speaker 3] (1:40:05 - 1:40:16)

precedent for that right like we solved the ozone layer issue yeah the world together did we did we yeah yeah you remember like 10 years ago everybody was like ozone ozone ozone layer hole in the ozone layer nobody talks about it

[Speaker 1] (1:40:16 - 1:40:28)

slightly more in our control because we were creating it and therefore we could control it couldn't you also argue climate change we're creating yeah it can it could it could but it's a little bit in that space but I think

[Speaker 3] (1:40:28 - 1:41:24)

what will happen before this climate change inevitability that a lot of people prophesize is I think geoengineering will become such a big field in itself like if we were to like very simply talk about climate change right sun hits earth eat surface reflects a certain kind of heat back yeah it gets trapped in the atmosphere albedo effect based on what gases are in the atmosphere that much heat does not go out yeah but things like adding sulfur into the stratosphere technology around covering the ice caps with some form of limestone yeah geoengineering in itself like everything else like if you've been resilient as humans for hundreds of thousands of years yeah I don't see why in that much minute 60-70 years that we are around will the world collapse in front of my eyes mathematically the odds of that to me are minuscule

[Speaker 1] (1:41:24 - 1:41:27)

collapse maybe not deteriorate could be another way

[Speaker 3] (1:41:27 - 1:41:29)

but the world is always changing I agree

[Speaker 1] (1:41:30 - 1:41:31)

I agree

[Speaker 3] (1:41:31 - 1:41:44)

like deteriorate is a very relative world like if you talk about relative to the previous hundred years we should be happy with where we are now yeah and hopefully hundred years down the line we are there but coming back to a topic that we are talking about

[Speaker 1] (1:41:44 - 1:41:50)

here I'm saying therefore in that environment it's even more that you need that flexibility versus the formality of it yeah

[Speaker 3] (1:41:50 - 1:43:06)

so what we are saying to summarize the last bit of our conversation what needs to change about education or what people looking to build around education need to bear in mind is the near future could be a time of increased gamification changing not replacing the bricks of education if we were to consider it a wall but a lot of tweaking of the bricks to make it less conformist in the manner where your ability to regurgitate information is not as valuable as it was twenty years ago that change will likely happen and people need to bear that in mind and another point you brought up is peer to peer will become increasingly relevant like Jay also said going to Harvard is as much about the other people who went with him to Harvard than it is about syllabus, teachers, teaching staff yeah in the interest of time moving on you brought up Baiju's for a second would you like to because it's all over the news if you guys have an opinion like would love to hear it since you're both in the space

[Speaker 2] (1:43:06 - 1:44:18)

no I think I don't have a particular opinion on Baiju but I will make a more generic statement I think what has happened is that any new employee I'm interviewing any new investor who comes and talks to me there is this sort of negativity about edtech and the people who are in edtech know that it's a phenomenal sector I mean the kind of pools, revenue pools that it has whether it's in higher education or in test prep or in K-12 it's amazing I mean I was giving you the example that the top ten offline coaching centres of the country do 20,000 crores in revenue annually but if you don't even go top ten if you go localised in Madhya Pradesh there is an exam called MPPSC there is a coaching centre 6 or 7 institutes that helps people prepare for that examination does 150 crores a year and there are hundreds of such examples so that revenue pool exists offline you can bring that online similarly in higher education whether any kind of college that helps people getting get better skilled or get a better job there is a huge opportunity to disrupt don't take this from

[Speaker 3] (1:44:18 - 1:44:27)

a perspective where somebody is comparing one company with another it is not about an academy it is not really about

[Speaker 2] (1:44:27 - 1:44:28)

I am talking about the sector

[Speaker 3] (1:44:29 - 1:44:41)

where do you think as a cycle every stock every sector has cycles so if you were to paint the cycle like this where do you think AITEC is at right now very simple concise answer

[Speaker 2] (1:44:41 - 1:44:58)

I think in covid we were at the peak and then last year I think at least for us we would say that we were going through a lot of tough times now we are climbing back up and that is more an academy and I can't say for others but that is what we are

[Speaker 1] (1:44:58 - 1:45:35)

yeah there is no this at all to be honest because the opportunity and what the need is is absolutely massive there is a revolution going on in reskilling today there is a dire need for it it is like a clarion call in many ways so there is no opportunity for anything to go up and down here when we look at this up and down we only categorize it in terms of investment bankers or valuation which is so irrelevant capital is not going to change learning skilling and 10 times more capital coming is not going to give you 10 times faster results in fact it is going to slow the process down

[Speaker 3] (1:45:35 - 1:45:36)

why is that

[Speaker 1] (1:45:36 - 1:45:41)

because you don't need capital to make the changes that you need to make not everything is about capital so I

[Speaker 3] (1:45:41 - 1:45:48)

think doesn't capital afford you larger distribution in a manner where you can reach more people no

[Speaker 1] (1:45:48 - 1:45:49)

no I think

[Speaker 3] (1:45:49 - 1:45:50)

I'm not talking

[Speaker 1] (1:45:50 - 1:46:25)

about zero capital but I'm not talking about the capital that everyone thinks that that capital if you throw at this is an overall have you ever raised money at Upright yes we have raised money yeah but I'm saying that capital for most people sounds like if you're looking at such a large sector and since you're talking about your core group that will want to listen to this one go there one of the things I would say is you don't need to have that kind of capital to make the change in this sector

and that's going to be the fun part of it because then it'll be longer lasting it'll be a lot more permanent and I think the foundation will be even stronger

[Speaker 3] (1:46:25 - 1:46:53)

what about physics guy like what is he doing which is so different I hear so much about physics have you heard of him so there is this guy who is not spending money in the same amount and extent as other players but is able to gather an audience a paying audience based on his popularity based on some say the quality of his teaching in physics or whatever like

[Speaker 1] (1:46:54 - 1:47:07)

the other way to look at that is he built a business very frugally accepted that you don't need money on it and it's taken a fair bit of time to come to where he has and I think that's where the credit comes versus anything else because you like him then yeah I like

[Speaker 3] (1:47:07 - 1:47:08)

everybody who's an entrepreneur

[Speaker 1] (1:47:08 - 1:47:12)

because it's so bloody difficult to do anything in

[Speaker 3] (1:47:12 - 1:47:12)

life so

[Speaker 1] (1:47:12 - 1:47:38)

everyone needs incredible amount of respect and at the point in which you are obviously as you rightly said there'll be ups and downs but my question here is what he did right is not put capital epicentre took a long term view and the result you're seeing right now if you go back for the last eight years and analyze that and you see that report card and you see somebody else's report card of a chest thumping moment or raising a billion dollars

[Speaker 4] (1:47:38 - 1:48:19)

the answer is right there this thematically is true across you know mature companies newer companies folks they don't talk as much sometimes can quietly build something and when they come out it feels like it just happened and another part to cling to something we said much earlier not fundraising immediately puts you outside of that you know media spotlight and this spotlight of oh wow I am a unicorn because I fundraised at a certain valuation and you know now I'm notionally at that value there's a lot of companies in India and around the world that are quiet

[Speaker 1] (1:48:20 - 1:48:42)

and just to put this in the sector that Jay is in I mean you've seen that I mean you don't need to go into the startup world to do that you've seen banks have a different situation and how levels of corruption excess transparency have come in there just based on funding so it's not an ecosystem here it's mature ecosystems like banking where you can have that highly regulated system

[Speaker 3] (1:48:42 - 1:48:47)

Just remember something since you're here what do you think of the new TCS on LRS?

[Speaker 4] (1:48:50 - 1:49:05)

I think it's complicated because at one level if we want the rupee to be competitor to the dollar to the Yuan we want to be free float as much as possible and you want

[Speaker 3] (1:49:05 - 1:49:05)

to be

[Speaker 4] (1:49:06 - 1:49:11)

completely convertible but it is very easy to say that

[Speaker 3] (1:49:11 - 1:49:39)

Can I ask you to prophesize if India were to become truly convertible capital account convertible let's say LRS the money going out of the country is maybe 22 billion dollars let's make our assumption it's somewhere around that this year yeah do you think more money would go out or more money would come in I ask you this while I preface that every international bank and investor I meet today wants to come to India right now money

[Speaker 4] (1:49:39 - 1:49:41)

would come in money is coming in India is doing very well

[Speaker 3] (1:49:41 - 1:49:42)

I actually agree

[Speaker 4] (1:49:42 - 1:49:52)

with you and on the LRS TCS point there is the real fact that this was a loophole the fact that that's what I'm

[Speaker 1] (1:49:52 - 1:49:56)

saying in that context if you look at it in that loophole element there which has just been clarified in some form

[Speaker 3] (1:49:56 - 1:50:01)

is the question did they plug the loophole or did they make it significantly harder for people

[Speaker 1] (1:50:01 - 1:50:06)

I think they did it in three doses which then got into an element of miscommunication if you ask me

[Speaker 3] (1:50:06 - 1:50:12)

but beyond the third dose you still have to pay 20% TCS when you spend your LRS

[Speaker 4] (1:50:12 - 1:50:31)

you can claim it back yes it's I would say that is it the most elegant solution one could argue not is the onus going to be on you guys as a bank my understanding is that banks anybody if somebody spends on a bank's credit card the bank is accountable to implement regulation and that's part of being a regulated entity

[Speaker 3] (1:50:31 - 1:50:36)

and that's a significantly unnecessary cost

[Speaker 4] (1:50:36 - 1:51:00)

no I don't think that's the case at all there is lots of regulation we also the word bank comes with a lot of trust and that trust while is a good thing in terms of attracting customers comes with responsibility great power comes great responsibility that is the regulators can make a change that they see fit for policy

[Speaker 1] (1:51:00 - 1:51:01)

and I think

[Speaker 4] (1:51:01 - 1:51:02)

sometimes you

[Speaker 1] (1:51:02 - 1:51:22)

get irritated because of the communication level and when you do it in three doses and then everyone thinks now this is just enough why do you want to get there but at the end of the day the report card is quite clear if you are spending $250,000 a year which means you should be a high tax paying bracket in which case you will be cash neutral at the end of the year

[Speaker 3] (1:51:22 - 1:51:48)

my point here is I actually truly believe this is not for the sake of euphemising some other thought of mine but every international investor I talked to today is really critical especially in America and the west and Europe they are really critical about their own economy but I would say 80-90% are sanguine about the prospect of India and wanting some form of

[Speaker 1] (1:51:48 - 1:51:52)

participation in the rational tax country we're not one of the higher tax

[Speaker 3] (1:51:53 - 1:51:56)

countries but if we open up I truly believe more money will come in

[Speaker 1] (1:51:56 - 1:51:59)

I don't think this has to do with open up

[Speaker 4] (1:52:00 - 1:52:01)

sorry carry on I'll

[Speaker 1] (1:52:01 - 1:52:15)

go after you if there was a reverse GST on it and for every 250 you are gone with you know this is not that it is just about saying we don't know whether you necessarily paid your tax and therefore take it at the end of the year

[Speaker 4] (1:52:15 - 1:52:32)

if you open up completely you also become mercy even more to something the Fed may do that is really silly that causes violent capital flight that was nothing to do with you and we've seen over the past 30 40 years financial crisis because of

[Speaker 3] (1:52:32 - 1:52:37)

nothing that can happen with the norms because they are not subject but less

[Speaker 4] (1:52:37 - 1:52:39)

has come in and it's also

[Speaker 3] (1:52:39 - 1:52:42)

less hot because less is coming

[Speaker 4] (1:52:42 - 1:52:55)

and how if you open a floodgate very quickly this would be an I would say how policymakers would argue it are you bringing in stable long-term capital that's looking at investing in the

[Speaker 3] (1:52:55 - 1:52:56)

country or are

[Speaker 4] (1:52:56 - 1:53:01)

you bringing in short-term you know quick profit-seeking capital so

[Speaker 1] (1:53:02 - 1:53:10)

it's difficult we've ridden the storm quite well through three of these months because I think we've been a little bit more prudent right do

[Speaker 3] (1:53:10 - 1:53:51)

you think this funnel of money which came into India edtech many other sectors in the last decade when say the cost of borrowing in the West was a fraction of what it is now maybe it was 1% now it's maybe 5.5% how long do you think this winter will continue for and when you look at large numbers of companies like SoftBank and Temasek and all these big guys Tiger Global they all seem to be down so much what do you think will incentivize the fresh risk chasing money to come into India and in turn into edtech

[Speaker 1] (1:53:51 - 1:54:09)

I think a lot of that money came in actually came in from the East Coast but went to the West Coast guys because most of the money got spent on advertising and spending out of the West Coast guys in America so actually some sense of in and out happened there I wouldn't put Temasek and SoftBank and Tiger all in the same bracket one is a sovereign fund one is a

[Speaker 4] (1:54:09 - 1:54:09)

lot more

[Speaker 1] (1:54:09 - 1:54:14)

individually run one has got a great track record no sense of judgment on

[Speaker 3] (1:54:14 - 1:54:16)

actually not Temasek I'm talking about Tiger and

[Speaker 1] (1:54:16 - 1:54:53)

yeah Tiger SoftBank whatever else see I think it's a little bit like if I'm if I gave you this example if I want to do 8 risk because the two that I want to win I win at 40x that's a point of view and if you want to play that you will have good years do exactly what they want to do and today a lot of these people are burnt in the public markets not in the private markets but the question of yours was a lot more in the private market than the public market so we have to keep that in mind also there's nothing listed really

[Speaker 3] (1:54:53 - 1:54:55)

right in India in the edtech sector

[Speaker 1] (1:54:55 - 1:55:09)

no no but the mindset of these and the winter is set in because in the public markets they've lost more money much less than they've lost in the private market and that has created this perceived not just about edtech this is about

[Speaker 2] (1:55:09 - 1:55:27)

I think what will also happen is that even when the winter is over the disciplined ways the disciplined ways of building companies will come back and people will start building higher valued companies with much less capital

[Speaker 1] (1:55:27 - 1:55:38)

why do we classify winter with the inflow versus the winter will be if the market is closed down the prospects of consumer spending is slowed down

[Speaker 2] (1:55:38 - 1:55:39)

that would be a snowstorm

[Speaker 1] (1:55:39 - 1:55:40)

sorry

[Speaker 2] (1:55:40 - 1:55:41)

that would be like a

[Speaker 1] (1:55:41 - 1:55:43)

cyclone that would be everything

[Speaker 2] (1:55:43 - 1:55:45)

but the thing is for a lot of young people

[Speaker 1] (1:55:45 - 1:55:49)

so I don't know why at the starting gate everyone is calling it the winter just because

[Speaker 2] (1:55:49 - 1:55:49)

some people are

[Speaker 1] (1:55:49 - 1:55:50)

giving them

[Speaker 3] (1:55:50 - 1:55:52)

no no but the situation

[Speaker 1] (1:55:52 - 1:55:53)

in Bangalore is

[Speaker 3] (1:55:53 - 1:55:56)

quite bad in the start up ecosystem no no but what you guys

[Speaker 1] (1:55:56 - 1:55:58)

are not understanding is maybe in the skyscraper yeah

[Speaker 4] (1:55:58 - 1:56:07)

no no no it is but it also compared to 2019 it's probably not nearly as bad it's just compared to 21

[Speaker 2] (1:56:09 - 1:56:18)

no see a lot of people who want to start up the first check that they get is will be from like an angel fund or an institutional fund or not

[Speaker 1] (1:56:19 - 1:56:29)

the nine out of ten people they are talking about don't get a check to start but that doesn't mean they don't start and I think we should be just a little bit realistic about that thought process

[Speaker 2] (1:56:29 - 1:56:35)

you are saying that it is possible to build a fairly large tech company without raising capital

[Speaker 1] (1:56:35 - 1:56:40)

I think in media one did it for eight years without raising one rupee

[Speaker 2] (1:56:40 - 1:56:40)

and

[Speaker 1] (1:56:41 - 1:56:46)

zero zero zero yeah yeah exactly

[Speaker 2] (1:56:46 - 1:56:58)

90% of the large tech companies and especially I am talking about tech where you have to have some sort of an advantage to scale fast to speed fast I think venture capital plays a huge

[Speaker 1] (1:56:58 - 1:57:05)

role what is fast the subjective definition created by velocity set by some other people

[Speaker 3] (1:57:05 - 1:57:12)

but ours is not fast I have been doing the same job I do today for 19 years full time trading investing and people are

[Speaker 1] (1:57:12 - 1:57:13)

losing the thing

[Speaker 3] (1:57:13 - 1:57:14)

that it takes time

[Speaker 1] (1:57:14 - 1:57:18)

it takes time you lose the value if it takes time you are in trouble

[Speaker 3] (1:57:18 - 1:57:25)

like exact same job same schedule same routine everything same for 19 years big tech took time

[Speaker 4] (1:57:25 - 1:57:38)

and you know one of the things I look at big tech I look at Google or Facebook the founders still own large shares because they didn't dilute the way current founders are diluting its crazy you know where at

[Speaker 3] (1:57:38 - 1:58:09)

series E you are at 9% ok guys again mindful of 8 minutes or whatever we have left maybe take the last couple of minutes each to say what have you learnt that you wish you knew before starting UpGrad before starting Unacademy before everything Jai has done in the realm of education something for people starting off today to watch out for and if you had two choices to change about education overall what would they be

[Speaker 1] (1:58:11 - 1:58:57)

so I think I've said this before and I'll say it again we don't have the liberty for everyone hindsight and I think anyone starting up needs to understand that that if the formula is one about hindsight it doesn't happen that way if in 1995 I did this this and this I would have been a 10x value of my media company I could have been bankrupt because five other things would have happened there so to me it is a learning process it's an iterative process and if you look at it always fast forward and forward versus hindsight you're going to be able to actually better your odds of success so for anyone who's looking for what would I do in the rear view mirror the possibility is that you'll do a lot more wrong if you keep looking in the rear view mirror one thing I

[Speaker 3] (1:58:57 - 1:59:13)

gather from you a lot is you take a certain amount of pride in the wrong that you have done and you speak about it yeah I think so in a way what you're also saying is not having an ego about the mistakes you have made is very important

[Speaker 1] (1:59:14 - 1:59:31)

but we don't talk about it that often and we should talk about it I'm not saying we need to bang the table about it but we do need to talk about it and I think part of what we're thawing the icebergs here not the next thousand entrepreneurs but the next million entrepreneurs are going to come if you thaw the iceberg not throw in a couple of ice cubes

[Speaker 3] (1:59:32 - 1:59:41)

nice nice and two things you would like to change about education overall two specific things what needs to change what will likely change okay give me one that needs to

[Speaker 1] (1:59:41 - 2:00:26)

change I think there is a certain level of structure in the formal education space which we need to respect because if we go disrupting that it's not going to be there we need to layer it we need to augment it we need to have a much more rounded element to that thought process that will make a world of a difference because it will get people at a much younger age to be a lot more aware and second I think in education whether we like it or not there is the haves and the have not and I emotionally and passionately believe that if we fix the have nots a little bit more disproportionately we'll all be in a different marketplace so for me at this stage in my life market making and opening up at scale is quite an obsession so I think those are two macro points for me

[Speaker 4] (2:00:27 - 2:02:02)

so for me two themes one is a theme at a system level and one is at an individual level at a system level I think I agree with Ronnie don't break parts of what is traditional simply widen the number of people that can access what is traditional for me a far bigger problem is not necessarily the quality of the education I'm coming from outside the edtech sector so it's easier for me to say that because I'm not you know biased towards necessarily thinking the opposite way maybe I'm wrong and widen just giving everybody more making it meritocratic and then allowing merit to take cause the challenge right now is that most people struggle to get access to basics that make even access to education and then the brand name kind of spiral so that for me is the individual side the system side at an individual side it's much more again the thing we've touched on learning from people not learning from courses and learning from books I think learning from people is it's harder to surround yourself but at some level we make decisions of who we surround ourselves with and those are semi-conscious at least I know some people have less of a choice in that and I think that that to me is lifelong learning after the age of at the latest 30 but for most people 23 or 24 is learning from people yeah

[Speaker 3] (2:02:02 - 2:02:24)

can you repeat the question one thing you've learned in your journey in the journey around education that you would like to share so the new budding entrepreneurs can keep that in mind second part of the question if you could change arbitrarily one one very fundamental first principles

[Speaker 2] (2:02:25 - 2:03:26)

kind of thing about education what would you change so I'll start with the second one first what I would like to change is that even today I think everybody there is a lot more focus on content and education etc I like to believe that technologists are not coming in the sector I like to believe that the way a duolingo has solved a problem where it's a completely computer generated program or a game teaching people and obviously there is human intervention that has gone into it or there is

roblox where every third kid is using in US like or playing a game on roblox I think people are not building enough technology stuff so one thing I would like to change is that I would request entrepreneurs that education is a big sector don't just be stuck in fintech look beyond fintech every other founder I meet is I'm doing fintech this I'm doing fintech that yes fintech is a big market

[Speaker 4] (2:03:26 - 2:03:27)

fintech is fun

[Speaker 2] (2:03:27 - 2:06:11)

yes fintech is a big market but there are other sectors also where a large part of large companies will be created the and second thing which I have a huge problem with is that and this is nothing to do with that tech this is more I think the ambition of founders in India is very low I think I see some co-founders exiting after taking some minor secondary I see people getting satisfied very less but let's say if you if you if you look at a dependent or or or and the kind of aspirations they have for their act to amazing aspirations so what we also like we want super duper ambitious people and technology people to also come to a tech and be ambitious in general so and more than education see I believe that yes peer-to-peer learning and people learning from people is good but my view is which is completely different I don't think that's practical I don't think that's what will scale Duolingo now has 60 million MAUs there is no other person on the app there are 8 million paid users this is from their last earnings report stock is trading at 15x revenue 6 billion dollar company no human is involved no social experience there is gamification and a computer teaching you and I think lifelong learning though theoretically sounds good I don't think anybody wants to you have to solve for motivation in an ideal scenario yes people should do lifelong learning but they don't so how do we solve for motivation that you know you study psychology for learning and not because you want to crack these examinations so I think these are the few thoughts that I have but and one last prediction I would like to make is that we don't realize that how much AI will change education I think most of the stuff that we discussed today would look irrelevant one year from now and we don't realize that 5 years from now every household will have a robot like personal computers changed everything if you look at the latest product that ring has introduced the doorbell cam now ring has a drone which can while you are away access your entire home and what Tesla bot is doing I think we are maybe 3 or 4 or 5 years away where every household in the world especially starting with the people who can afford it will have a robot so I think that will also change a lot of things

[Speaker 3] (2:06:11 - 2:06:12)

super

[Speaker 2] (2:06:13 - 2:06:14)

my thing

[Speaker 3] (2:06:14 - 2:07:51)

I can paint a optimistic picture or a very dystopian one I'm going to pick the latter I feel like the modern construct of a family husband wife child or non child or non child is not is not the best to fester education in the manner that I would dream for it to be I think if you go back in time before organized religion and many other things each kid learned from the community and he fixated upon what skill set he might like in the community what he would like to inculcate I feel the modern notion of a family we tell our kids what religion to follow we tell our kids what it is okay to study maybe not consciously but subconsciously I don't know how this will work but going back to a world where the mimetic influences of the world are lesser on the child and the child is allowed an environment to be more organic about the learning choices he makes is something that should change about education make sense yeah well put done so thank you everyone and look forward to seeing you guys next time thank you guys for coming thank you hi I'm Nikhil Kamath I'd love to know what you thought of the episode comment like and subscribe and thank you for watching